

Oil forecasts raised as prolonged Strait of Hormuz disruption continues

We have revised higher our oil price forecasts as peace talks between the US and Iran stall, and with no immediate signs of a resumption in flows through the Strait of Hormuz



Lingering supply disruptions lifting floor for the oil market

Eight weeks have now passed since US and Israeli strikes on Iran. This led to the ongoing blockade of the Strait of Hormuz, a key chokepoint for the global oil market with roughly 20m b/d of oil moving through the strait prior to the war.

After considering the diversion of some oil via pipelines and the trickle of tankers still making it through the Strait of Hormuz, around 14m b/d of oil supply is currently disrupted. Over the first 2 months of the conflict, around 850m barrels of supply have been lost. Clearly, the disruption grows every day that passes without a resolution.

While Iranian oil had been moving through the Strait of Hormuz largely unaffected, the US blockade poses some risk to these flows. Prior to the blockade, we were estimating Iranian oil exports of around 1.5m b/d.

In our base case, we initially assumed that we would start to see a gradual resumption of flows through the Strait of Hormuz in April. However, this has clearly not materialised. Therefore, we are updating our base case assumptions and, as a result, revising higher our ICE Brent forecasts.

We are now assuming that oil flows through the Strait of Hormuz will slowly start resuming in May

and June, and remain below pre-war levels for most of the year. This longer return allows for the gradual resumption of upstream production, which has had to shut-in due to storage constraints. It also allows for potential infrastructure damage, which could further slow the return to pre-war levels.

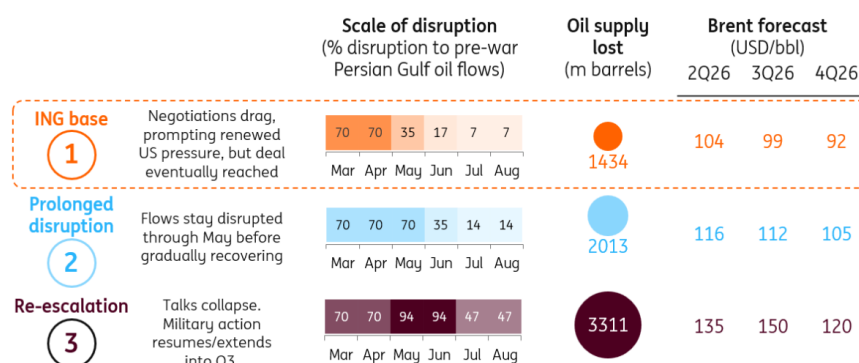
Our new base case sees ICE Brent averaging \$104/bbl (\$96 previously) over 2Q26, while the significant inventory drawdown and slow recovery towards pre-war flows sees Brent averaging \$92/bbl (\$88/bbl previously) over 4Q26.

Low inventories and the need to restock, whether commercial or strategic reserves, also suggests that oil prices will remain relatively well supported for the foreseeable future.

The upside risks to this assumption are a near full closure of the Strait of Hormuz persisting through May, which would likely see Brent finding a floor above \$100/bbl for the remainder of the year. This is aligned with our scenario 2. However, a more significant risk lies in a renewed escalation that could nearly halt oil supply through the end of the second quarter. Under this scenario, Saudi crude shipments via the Red Sea and UAE exports from Fujairah would also be disrupted, potentially driving oil prices to new record highs.

This is aligned with our more aggressive, scenario 3.

Three scenarios for oil prices



Source: ING Research

Note: Price forecasts are period averages

Do oil prices need to go much higher to drive demand destruction?

There has been considerable debate over whether current oil prices fully reflect the severity of the supply disruption, with many arguing that prices must rise further to trigger sufficient demand destruction and restore market balance. However, it's important not just to look at crude oil prices. The surge in product cracks mean that refined product prices have seen significant more strength and will be driving demand destruction already. While Brent futures are up around 80% so far this year, gasoil and jet fuel prices are up 102% and 120%, respectively.

Between flight cancellations, reduced run rates at petrochemical plants and measures taken (particularly in Asia) to reduce energy consumption, we estimate demand destruction in the region of 1.6m b/d. While this is meaningful, it would be insufficient if supply disruptions persist. Under a

prolonged disruption scenario (scenario 3), substantially higher oil prices—across both crude and refined products—would still be required to drive additional demand destruction.

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LA PRODUCTIVITÉ RETROUVE DES COULEURS

Bruno Coquet et Éric Heyer

Résumé

La productivité du travail en France a traversé un long passage à vide entre la crise sanitaire et la fin 2022. Elle s'est ensuite redressée, progressant au rythme annuel de +1,3 % depuis le début de 2023 dans le secteur marchand non-agricole, soit plus rapidement que sa tendance de long terme (+0,9 % par an). ne comble cependant pas le retard accumulé au cours des trois années précédentes : la productivité par tête n'a pas encore tout à fait rejoint le niveau qui était le sien fin 2019, et elle demeure 5 % en dessous de sa trajectoire tendancielle.

Cette singularité française a fait l'objet de nombreuses conjectures. Celles-ci tenaient en partie aux données disponibles fin 2023 qui décrivaient une productivité déclinante mais qui révisées et complétées distinguent désormais clairement l'affaiblissement de la productivité en sortie de crise sanitaire du regain ultérieur.

Nous revenons sur cette séquence afin de mieux en comprendre les ressorts. La politique de soutien à l'apprentissage apparaît comme le principal déterminant de l'affaiblissement de la productivité, puisque qu'elle explique actuellement près de 30 % de l'écart à la tendance antérieure, suivie par la politique de soutien aux entreprises (17 %) et la baisse du coût du travail principalement liée au retard d'indexation des salaires aux prix (13 %) ; la baisse du chômage et ce qu'elle emporte en termes de profil des actifs (9 %) et la contraction persistante de la durée du travail (6 %) jouent également un rôle significatif. Au total nous parvenons à expliquer 75 % de l'écart de productivité accumulé depuis 2019 par rapport à la tendance de long terme.

L'usage est de mesurer la productivité du travail en attribuant l'ensemble de la valeur ajoutée marchande aux seuls salariés, comme si les non-salariés n'en avaient aucune. Mais la part de ces derniers s'accroît vigoureusement depuis 20 ans, et leurs caractéristiques se transforment (revenu, durée du travail, etc.). L'incorporation des non-salariés dans nos équations n'améliore cependant pas la qualité de celles-ci et modifie peu la hiérarchie des différentes variables identifiées dans notre modèle de base.

La panne de productivité : une spécificité française

Au plus fort de la pandémie, la chute de la productivité du travail¹ a été plus prononcée en France que dans le reste de la zone euro. Le rebond a été vif dès le second semestre 2020, mais moins en France que chez nos partenaires européens (graphique 1).

À la fin 2024 la France n'a pas encore tout à fait rejoint le niveau de productivité par tête qui était le sien cinq ans plus tôt, alors qu'en moyenne l'ensemble formé par les autres pays de la zone euro est parvenu à ce résultat il y a quatre ans, dès le 1^{er} trimestre 2021. Depuis deux ans notre pays comble progressivement le retard accumulé, en partie aidé par le ralentissement de nos voisins.

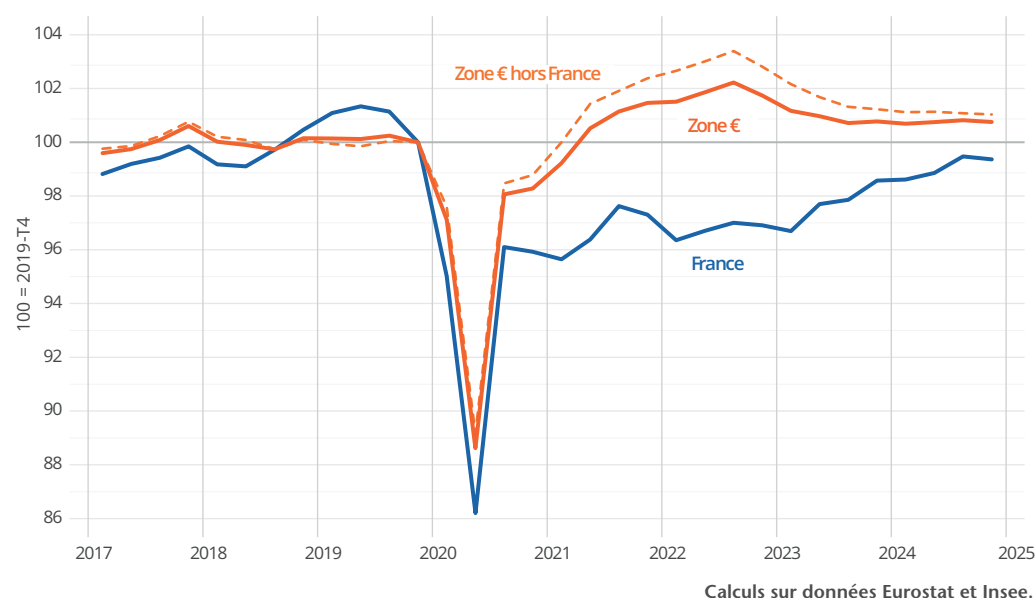
Entre fin 2019 et fin 2024 le contenu en emploi de la croissance a été très élevé en France : l'emploi salarié marchand a crû de +6,1 %, alors que la valeur ajoutée de ces secteurs ne progressait que de +5,5 %. Les performances en termes d'emplois des autres pays de la zone euro (+4,3 %) étaient, quant à elles, inférieures à celles de l'activité (+5,1 %).

Le très fort contraste qui prévaut entre 2020 et 2022 s'atténue ensuite (graphique 1), mais les mauvaises performances de l'Allemagne et de l'Italie pèsent alors fortement sur la moyenne de nos partenaires. En d'autres termes les emplois créés ou maintenus en France étaient moins productifs qu'auparavant, et moins productifs que ceux créés ou maintenus chez nos voisins. Il est également possible de lire l'exception française comme les deux faces des politiques publiques mises en œuvre au cours de cette sous période 2020-2022 : d'une part des instruments de soutien à l'offre plus prolifiques en termes d'embauches que de production et ayant bénéficié à des entreprises déjà fragiles², et d'autre part des mesures de soutien à la demande n'ayant pas produit les résultats escomptés, même si sur ce dernier point le comportement de « sur-épargne » des ménages n'est que légèrement plus prononcé que chez nos voisins.

1. Sauf mention contraire la productivité est celle des secteurs marchands non-agricoles.

2. Cazenave (2025).

Graphique 1. Productivité par tête : France et zone euro (2017-2024)

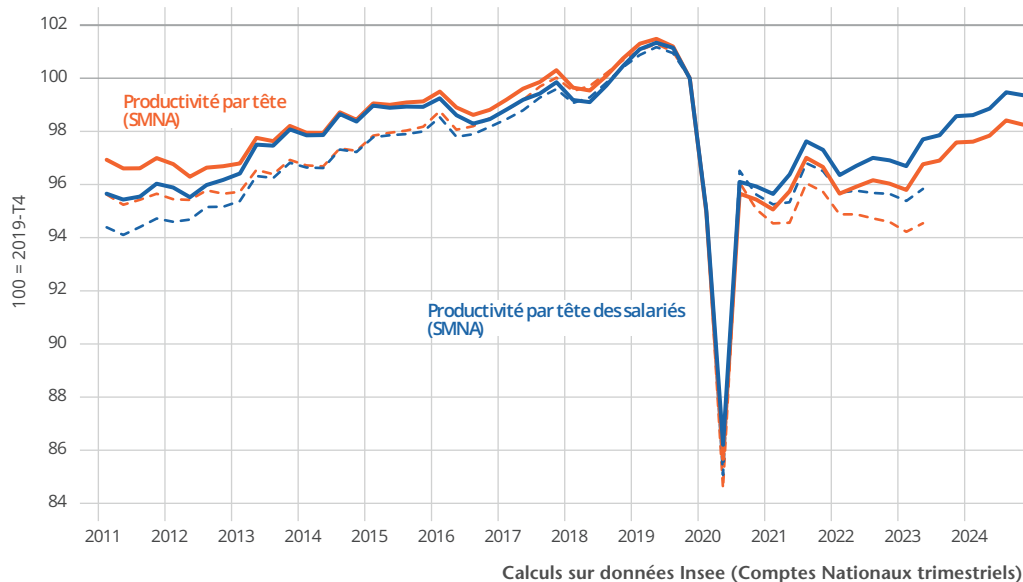


Calculs sur données Eurostat et Insee.

Note : secteurs marchands non agricoles.

Il reste que même si cette bulle d'emplois inexploités s'est légèrement dégonflée à mesure de la révision des comptes trimestriels et à la suite du rebasage des comptes nationaux en 2024, elle garde encore une part de mystère.

Graphique 2. Productivité par tête, et révisions en France (2011-2024)



Note : secteurs marchands non agricoles.

Lecture : Les lignes en trait plein représentent la productivité telle qu'elle peut être calculée avec les données actuelles. Les lignes pointillées correspondent aux mêmes indicateurs de productivité que les lignes en trait plein, mais calculés avec les Comptes Nationaux trimestriels du deuxième trimestre 2023.

Après un choc et deux années au ralenti la productivité s'est redressée

La nouvelle base des comptes nationaux adoptée en 2024 et la succession des révisions trimestrielles habituelles ont sensiblement modifié le profil et le diagnostic que l'on peut faire des années écoulées depuis le début de la pandémie : d'une part le niveau de la valeur ajoutée marchande a été sensiblement réhaussé, d'autre part le niveau de l'emploi a été légèrement abaissé à partir de la fin 2021. Et si la révision de la valeur ajoutée est assez régulière, celle de l'emploi salarié est plus heurtée sur la période examinée ici.

Fin 2024 la productivité par tête restait encore légèrement inférieure (-0,6 %) à son niveau d'il y a cinq ans (graphique 2). L'impact de la crise sanitaire sur le niveau de la productivité a ravivé les débats concernant l'ampleur et la persistance de l'écart entre les comportements habituels d'emploi et ceux que l'on observe depuis 2008 : s'agissait-il ou non d'une nouvelle rupture marquant un ralentissement structurel – donc permanent – du rythme de productivité ? La productivité rejoindrait-elle sa tendance antérieure, compensant l'ensemble des pertes enregistrées durant la pandémie ? ou bien observerait-on le point bas de 2020 comme un choc permanent sur le niveau de productivité, celle-ci retrouvant ensuite sa tendance antérieure ?

Avant la pandémie, la croissance tendancielle de la productivité du travail était évaluée à +0,9 % par an. Les dernières ruptures de tendance de productivité remontent aux années 1990 et 2000, en lien avec les politiques d'allègement de cotisations et de réduction du temps de travail qui ont enrichi la croissance en emplois. La productivité

par tête a ainsi fortement ralenti : sa croissance est passée de +2 % en rythme annuel dans les années 1980 à +1,4 % dans les années 1990, puis +0,9 % dans les années 2010³.

Trois constats se dégagent des données désormais disponibles :

- Avant la crise sanitaire : la productivité par tête des salariés des SMNA évoluait à un rythme très ralenti depuis 2015 (+0,3 % par an en moyenne), suggérant une croissance déjà fortement enrichie en emplois (CICE, Pacte de responsabilité, etc.).
- Au sortir de la crise sanitaire : fin 2020 le niveau de productivité était de -4,1 % inférieur à celui atteint fin 2019.
- Après la crise sanitaire : la productivité par tête s'est accrue, d'abord lentement de +0,5 % par an en moyenne en 2021 et 2022, puis plus vivement et au-delà de sa tendance, à rythme annuel moyen de +1,3 % depuis le début 2023.

L'emploi reste élevé en regard du niveau de la production

Ce retour à une certaine normalité n'efface pas le passage à vide aussi prononcé que singulier de la productivité française entre les seconds semestres 2020 et 2022.

Entre fin 2019 et fin 2024 la faible croissance de la valeur ajoutée des SMNA (+1,1 % en moyenne par an) aurait dû aboutir, toutes choses égales par ailleurs, à une hausse modeste de l'ordre de +18 000 emplois salariés par an en moyenne dans ces secteurs (soit +89 000 en 5 ans) (tableau 1).

Le niveau de l'emploi salarié des SMNA s'est avéré très supérieur à ce qu'anticipaient nos modèles de prévision basés sur les déterminants habituels de la demande de travail⁴ : en effet 1,071 million (+6,1 %) d'emplois salariés marchands ont été effectivement créés selon les chiffres de la comptabilité nationale⁵, dont 982 000 s'expliquent soit par des comportements atypiques autour des déterminants habituels qui figurent dans nos équations (durée et coût du travail), soit par des facteurs exceptionnels, ou par une combinaison de ces différents facteurs.

3. Ducoudré & Heyer (2017). Précisons aussi que la baisse de la tendance de productivité (entre autres liée au ralentissement du progrès technique) n'est pas une spécificité française.

4. Ducoudré & Heyer (2017), Ducoudré (2019).

5. Cette étude a été réalisée avec les données disponibles fin février 2025.

Tableau 1. Valeur ajoutée et emploi salarié SMNA

Évolutions attendues et observées (2019-T4 à 2024-T4)

Secteurs Marchands Non-Agricoles / Salariés		Industrie	Construction	Services	Total
Tendance de la productivité par tête / an (%) (a)		+1,6	-0,0	+0,9	+0,9
Valeur ajoutée (%)					
Évolution cumulée observée de la VA		-1,0	-7,3	+8,1	+5,5
Emploi (%)					
Évolution cumulée attendue	(b-5*a)	-8,7	-7,1	+3,6	+1,0
Évolution cumulée observée	(c)	+2,4	+5,5	+7,0	+6,1
Emplois cumulés à expliquer	(c-b-5*a)	+11,1	+12,6	+3,6	+5,4
Emploi (milliers)					
Évolution cumulée attendue	(d)	-249	-108	+447	+89
Évolution cumulée observée	(e)	+68	+84	+919	+1071
Emplois surnuméraires à expliquer	(e-d)	+317	+193	+472	+982

INSEE, Ducoudré & Heyer (2017), auteurs.

Lecture : les valeurs sont arrondies à la deuxième décimale, ce qui peut faire apparaître des écarts significatifs dans ce tableau simplifié, notamment entre les données annuelles et quinquennales en %.

Au sein de cette enveloppe, tous les secteurs ont contribué aux créations d’emplois quelle que soit le dynamisme de leur valeur ajoutée : +68 000 emplois ont été créés dans l’industrie là où nos modèles anticipaient -249 000 destructions d’emplois salariés en près de cinq ans, le secteur de la construction a créé +84 000 emplois alors que l’on pouvait s’attendre à ce que -108 000 postes disparaissent, et les services marchands ont créé +919 000 nouveaux emplois quand l’activité en aurait justifié seulement +447 000 (tableau 1).

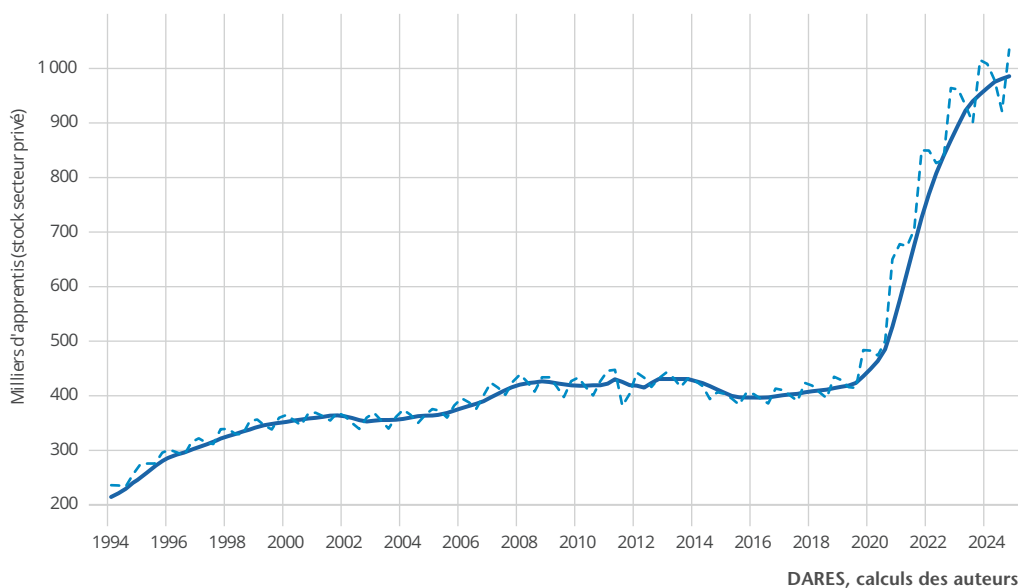
Les subventions à l’offre ont stimulé la demande de travail

L’écart cumulé depuis fin 2019 entre l’emploi observé et l’emploi attendu a culminé à 1,167 million au début 2023. Il s’est ensuite progressivement réduit, mais demeurerait très élevé avec 982 000 emplois salariés surnuméraires fin 2024. Il est utile de comprendre pourquoi l’économie française a créé ou sauvé autant d’emplois : en effet, selon qu’ils sont le fruit de la mise en place de comportements nouveaux ou de stimuli ponctuels, que le coût en a été supporté par les finances publiques (via une dégradation du solde public), les ménages (via une baisse du salaire réel) ou les entreprises (via une baisse de leur taux de marge), les emplois créés durant cette période pourraient être plus ou moins durables.

Aujourd’hui, la nouvelle base des comptes nationaux ainsi que la disponibilité de données plus récentes sur les politiques publiques, permettent d’actualiser et de préciser nos travaux antérieurs.

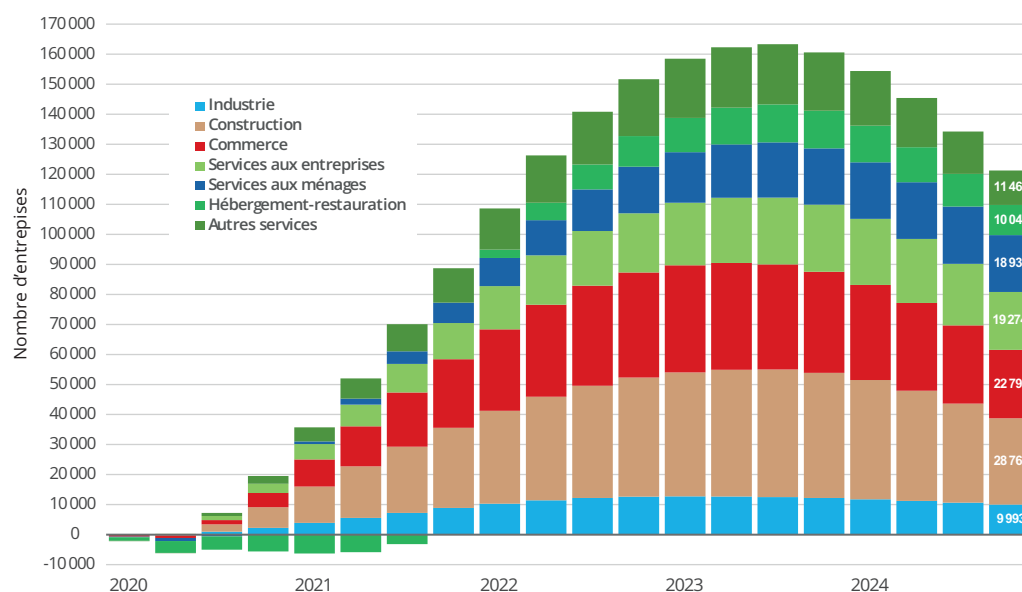
En 2023 nous avons identifié que le contenu atypique de la croissance en emplois apparaissait pour l’essentiel consécutif aux mesures exceptionnelles prises afin de limiter l’effet négatif des confinements et de la crise sanitaire sur le marché du travail, dont certaines avaient été prolongées dans le but de soutenir l’élan de la relance économique une fois passé l’acmé de la crise. Trois facteurs expliquaient alors les deux tiers des emplois surnuméraires : la baisse de la durée du travail (horaires réduits, activité partielle, arrêts maladie, surcroît d’absentéisme, etc.), les politiques d’aide à l’apprentissage et de soutien aux entreprises (PGE, création d’entreprise, etc.).

Graphique 3. Apprentis en emploi (1994-2024)



Note : Apprentis du secteur privé. Moyennes trimestrielles et mm4.

Graphique 4. Évaluation du nombre d'entreprises « zombies » (2000-2024)



Calculs sur données Insee, Dares, Banque de France, auteurs.

Lecture : le nombre d'entreprises « zombies » a culminé à 163 300 au troisième trimestre 2023, avant de reculer à 132 700 fin 2024 ; à cette date c'est le secteur de la construction qui comptait le plus d'entreprises de ce type (28 763).

Ces déterminants demeurent les principaux facteurs explicatifs du fort contenu en emploi de la croissance, mais les nouvelles données disponibles permettent de préciser nos précédentes estimations, et d'expliquer près de 75 % des créations d'emplois inattendues :

- L'apprentissage reste le principal déterminant de la dynamique de l'emploi salarié. La réforme structurelle qui a remis à plat cette politique en 2018 a facilité et stimulé le recours à ce dispositif⁶. La création en 2020 d'une « aide exceptionnelle » pour l'embauche d'apprentis, aide à la fois très généreuse⁷ et non ciblée, dans le cadre du Plan de relance a mis en lumière les avantages et les nombreuses autres aides dont bénéficie ce dispositif, suscitant un engouement de toutes parts, apprentis, employeurs, organismes de formation. La légère réduction de l'aide exceptionnelle décidée début 2023 n'ayant que marginalement modifié l'équation économique des jeunes et des entreprises bénéficiaires, l'apprentissage a enchaîné les records jusqu'à parvenir à 879 000 nouveaux contrats conclus et 1,042 million d'apprentis en cours de formation en fin d'année en 2024, soit plus du double par rapport à fin 2019 (graphique 3). Au total nos estimations montrent que fin 2024 +284 000 emplois salariés doivent leur existence à cette politique de soutien à l'apprentissage (graphique 5), conjuguant l'aide à l'embauche mais aussi les autres financements publics (coûts pédagogiques, exonérations sociales et fiscales, etc.) qui représentent plus des trois quarts des aides dont bénéficient les contrats d'apprentissage au titre de la politique d'emploi. L'effet de ces financements que nous mesurons au travers du stock d'apprentis permet d'incorporer les facteurs qui soutiennent l'apprentissage sans instrumenter directement la réduction du coût du travail (exonérations et salaire réduit à une fraction du SMIC), ni le surcroît de demande qu'engendre le déficit public dû au financement des coûts pédagogiques⁸. Le nombre actuel d'apprentis dépend largement de la prolongation de ces aides⁹.
- Les aides aux entreprises sont le deuxième facteur explicatif, dont l'importance s'est accrue jusqu'à la fin 2023 et qui reflue depuis. Ces dispositifs actés dans le

6. Coquet (2023, 2024).

7. Cette aide avait initialement été calibrée à 8 000€ en 2020 pour réduire à zéro le coût du travail de la plupart (85 %) des apprentis durant la première année de leur contrat. Elle a été abaissée à 6 000€ en 2023 sans que cela ne semble enrayer le rythme des entrées en apprentissage, suggérant que les autres aides soutiennent fortement l'attractivité du dispositif. Le montant total des ressources publiques consacrées à l'apprentissage avoisine désormais 24 Md€ par an ; pour la montée en charge depuis 2017 cf. Coquet (2023, 2024).

8. Le déficit cumulé de France Compétences pour les années 2021 à 2024 est estimé à 10,5 Md€ par la Cour des Comptes, qui auraient en théorie dû être financés par la taxe d'apprentissage.

9. Même en considérant que la réforme de l'apprentissage de 2018 a produit des effets bien plus importants que ceux anticipés par l'étude d'impact de la loi, il est possible de calculer qu'environ 210 000 emplois d'apprentis se seraient substitués à des formules contractuelles classiques, et ne sont donc pas comptabilisés dans les emplois surnuméraires.

sillage de la crise sanitaire afin de soutenir les créations d'entreprises ou de limiter les faillites ont pu enrichir la croissance en emplois dans des entreprises bien portantes, et aussi pu en aider d'autres à maintenir un niveau d'emploi supérieur à ce que justifiait leur activité (par exemple en attendant que cessent les ruptures d'approvisionnements ou pour se prémunir des difficultés de recrutement). La chute très prononcée des défaillances d'entreprises au cours des années 2020-2022 illustre quant à elle que des entreprises déjà fragiles et produisant peu ont survécu plus longtemps grâce au ballon d'oxygène des aides publiques, et ont de ce fait maintenu des emplois peu productifs. Sous l'effet conjugué de l'arrêt des aides, de la nécessité de rembourser le PGE¹⁰ et de la conjoncture, le nombre d'entreprises « zombies » se contracte rapidement (graphique 4). Nous évaluons à +170 000 le nombre d'emplois surnuméraires liés à ces aides à la fin 2024 (graphique 5). De nombreux travaux ont cherché à évaluer l'impact des différentes mesures de soutien à l'activité (activité partielle, report de charges, prêts garantis par l'État, fonds de solidarité à destination des entreprises, bouclier tarifaire, etc.) sur les faillites d'entreprises¹¹, mais l'incidence de la diminution des défaillances sur l'emploi à la suite de la crise sanitaire est en revanche peu documentée alors que différer les faillites engendrerait une élévation plus forte du chômage à court terme en raison de destructions d'emplois finalement plus nombreuses¹². Ces constats confortent l'idée de destructions d'emplois différées, et nos résultats qui montrent que ces aides ont significativement renforcé le contenu de la croissance en emplois.

- La baisse du coût du travail, principalement liée à une hausse moyenne des salaires inférieure à celle de l'inflation expliquerait quant à elle +129 000 emplois surnuméraires (graphique 5). La sensibilité de la demande de travail à son coût obtenue ici est proche de 0,3, voisine de celle estimée de manière agrégée figurant dans les modèles macro-économiques¹³. La formulation retenue ici incorpore par construction la baisse de coût du travail liée au salaire minimum des apprentis qui représente une fraction du SMIC selon leur âge et leur ancienneté dans le contrat, mais elle ne tient pas compte de l'ensemble formé par l'aide à l'embauche et les exonérations de cotisations sociales (salariales et patronales), ces effets étant capturés par la variable apprentissage. De même cette variable n'inclut pas des dispositifs qui tels l'Aide à l'Embauche des Jeunes¹⁴ ont pu réduire transitoirement le coût du travail.
- La baisse du taux de chômage a également une influence significative. Cette variable joue le rôle d'un proxy agrégeant différents effets d'un marché du travail plus tendu, les difficultés de recrutement favorisant l'embauche de salariés relativement moins qualifiés, moins expérimentés, davantage exclus de l'emploi lorsque le chômage est élevé, et embauchés dans des emplois à plus faible valeur ajoutée. Le taux de chômage peut également interagir avec l'allègement du coût du travail des bas salaires qui favorise les modèles économiques à faible valeur ajoutée indépendamment de la qualification des nouveaux embauchés, comme pourrait le suggérer la concentration des emplois autour de 1,3 SMIC¹⁵. Au total la diminution du chômage a expliqué jusqu'à +140 000 emplois surnuméraires mi-2023, et encore +87 000 aujourd'hui (graphique 5), cet amenuisement reflétant la stabilisation du taux de chômage depuis le début 2022. Notre méthode d'estimation multifactorielle¹⁶ permet probablement d'écarter que les effets associés à l'apprentissage (salaire égal à une fraction du SMIC, faible productivité de l'apprenti et productivité affaiblie du maître d'apprentissage, etc.) soient captés par cette variable taux de chômage, d'autant que si le boom de l'apprentissage a eu un effet sur l'activité et l'emploi des jeunes il n'a pas réduit le nombre de chômeurs dans cette tranche d'âge¹⁷.

10.

Au total 143 Md€ ont été accordés au titre des PGE. Le PLF 2025 est construit sur la base d'un taux de défaut estimé à 4,11 %, soit une charge totale des appels en garantie de l'État de l'ordre de 5,9 Md€ dont 1,2 Md€ (20 % du total) à décaisser en 2025 et après.

11.

Kalemli-Özcan *et al.* (2020), Guérini *et al.* (2020), OCDE (2020) ; Schivardi et Romano (2021) ; Banerjee *et al.* (2020a).

12.

Banerjee *et al.* (2020b) Heyer (2020).

13.

Cette sensibilité de la demande de travail à son coût est très proche de celle évaluée dans d'autres travaux économétriques (pour des références voir Heyer (2023)).

14.

Actée dans le Plan de Relance de 2020, la dépense s'est montée à 900 millions d'euros entre 2020-S2 et 2022-T1.

15.

Bozio et Wasmer (2024).

16.

C'est une différence d'approche avec la méthode retenue par la Devulder *et al.* (2024) qui additionne les effets des différents déterminants estimés indépendamment les uns des autres.

17.

Dans la tranche d'âge des 15-24 ans le nombre de chômeurs au sens du BIT a baissé de -1,1 % (-7 000) contre -10 % (-190 000) dans les tranches d'âge supérieures.

18.

Cette plus faible durée du travail pourrait trouver une explication dans la hausse de l'absentéisme depuis la crise sanitaire et qui reste aujourd'hui toujours à des niveaux supérieurs à ceux observés en 2019.

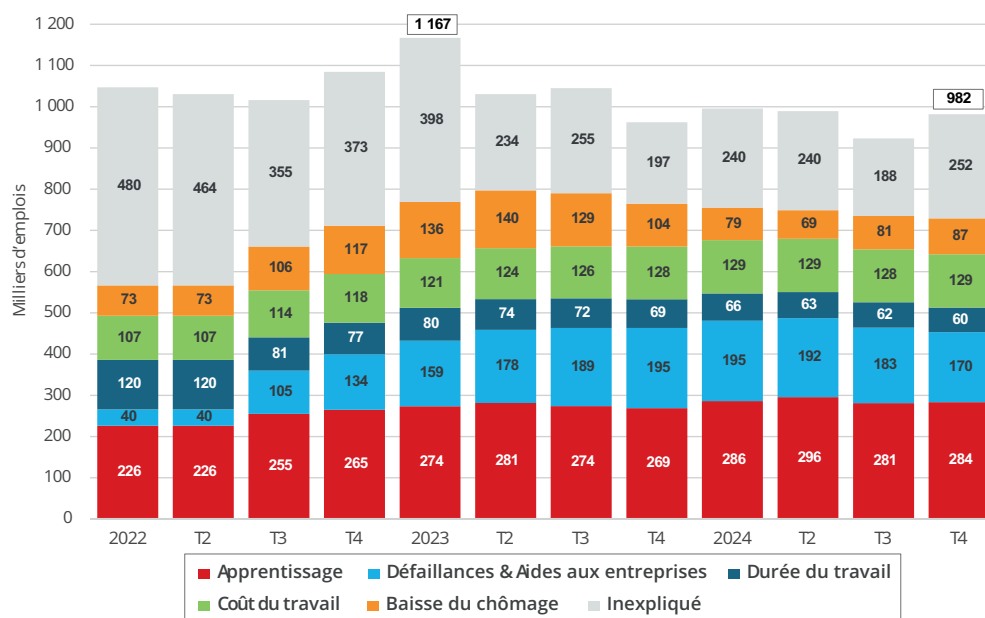
19.

Voir Heyer (2023) pour des références précises.

- Enfin, les dispositifs de chômage partiel mis en place en France comme dans la plupart des pays européens ont protégé les salariés en faisant porter en grande partie l'ajustement sur les heures travaillées plutôt que sur le niveau d'emploi. Mais ces dispositifs exceptionnels ayant expiré au premier semestre 2022, ils n'expliquent pas totalement la diminution de la durée du travail qui a mis près de cinq ans à retrouver son niveau de fin 2019¹⁸ dans la majorité des secteurs. Estimée par un coefficient commun, l'élasticité de la durée du travail à l'emploi est significative et sa valeur, autour de -0,5, proche des estimations obtenues par ailleurs¹⁹. La faiblesse de la durée du travail expliquait ainsi encore +120 000 emplois surnuméraires au début 2022, mais l'influence initialement importante de ce déterminant s'amenuise à mesure que la durée du travail se rapproche de son niveau d'avant pandémie. Malgré tout ce faible volume horaire de travail explique encore +60 000 emplois surnuméraires fin 2024 (graphique 5).

Ces variables laissent sans explication apparente 25 % des emplois surnuméraires créés ou maintenus depuis cinq ans. On peut néanmoins penser que la rétention d'emplois (emplois maintenus) ne s'explique pas seulement par les politiques publiques de soutien aux entreprises, mais aussi par des comportements atypiques de celles-ci : certaines auraient ainsi pu choisir de conserver des salariés en rognant sur leurs marges pour des raisons conjoncturelles (carnets de commandes remplis mais difficultés d'approvisionnement perçues comme transitoires, emplois très qualifiés difficiles à recruter à nouveau en cas de rebond dans un contexte de pénurie de main d'œuvre, etc.). La diminution des incertitudes, qui désormais écarte la probabilité d'un vif rebond économique à brève échéance devrait contribuer à un retour aux comportements habituels, d'autant que la situation financière des entreprises ne s'améliorerait pas, signifiant une réduction de cette rétention de main d'œuvre.

Graphique 5. Déterminants des emplois surnuméraires (2022-2024)



Insee, Dares, Banque de France, calculs des auteurs.

Note : secteurs marchands non-agricoles. Le nombre d'emplois à expliquer et la tendance de productivité contrefactuelle sont issus du tableau 1.

Lecture : le modèle 1 (encadré) décompose les déterminants expliquant 982 000 d'emplois surnuméraires en regard du nombre qui auraient été créés si le trend de productivité s'était prolongé sans choc sur son rythme de croissance antérieur à la pandémie. Fin 2024 la politique d'apprentissage expliquait 284 000 de ces emplois surnuméraires, contre seulement 269 000 fin 2023.

On peut aussi observer que les facteurs qui ont contribué à enrichir la croissance en emplois se contractent telle la durée du travail, mais aussi le soutien aux entreprises dont le volume diminue à mesure qu'elles remboursent leurs PGE ou que les faillites d'entreprises « zombies » se font plus nombreuses (graphique 4). L'apprentissage reste pour le moment à un niveau élevé, mais une normalisation de ce dispositif semble inévitable en raison des contraintes budgétaires, avec à la clé des destructions d'emplois d'apprentis et possiblement dans le secteur de la formation professionnelle. De même la hausse prévue du taux de chômage et le rattrapage en cours des salaires réels devraient progressivement réduire l'effet positif de ces variables sur l'emploi.

Décomposition sectorielle

La méthode d'estimation que nous utilisons permet de décomposer les contributions des déterminants du surplus d'emploi par secteur d'activité (graphique 6). Les résultats sectoriels sont inégaux :

- C'est dans le secteur tertiaire que le caractère explicatif de notre modèle est le meilleur. On note que dans ces secteurs les créations d'emplois d'apprentis représentent plus de 40 % des emplois surnuméraires à la fin 2024. Les déterminants usuels et ceux identifiés au niveau agrégé du modèle 1 (encadré) expliquent la totalité des créations d'emplois surnuméraires par rapport à la tendance de productivité des services marchands.
- À l'opposé notre modèle explique seulement 32 % des créations d'emplois dans l'industrie : le coût du travail apparaît comme le principal déterminant des emplois surnuméraires comptabilisés dans ces secteurs, et l'apprentissage ne vient qu'en deuxième position (le nombre d'apprentis n'a progressé « que » de +67 % dans l'industrie entre 2019 et 2024, contre +183 % dans les services). Ce résultat pourrait être rapproché des informations selon lesquelles la rétention d'emplois à l'initiative et à la charge des entreprises a été particulièrement forte dans l'industrie, les entreprises hésitant à se séparer de leurs salariés qualifiés dans une période où coexistaient des difficultés d'approvisionnement et de recrutement (cf. ci-dessus).
- Dans le secteur de la construction ce sont les aides aux entreprises qui apparaissent comme le principal facteur explicatif du nombre inhabituel d'emplois créés²⁰, suivies par la baisse du coût du travail et de l'apprentissage. Notre modèle n'explique cependant que 51 % des emplois surnuméraires créés dans ce secteur²¹.

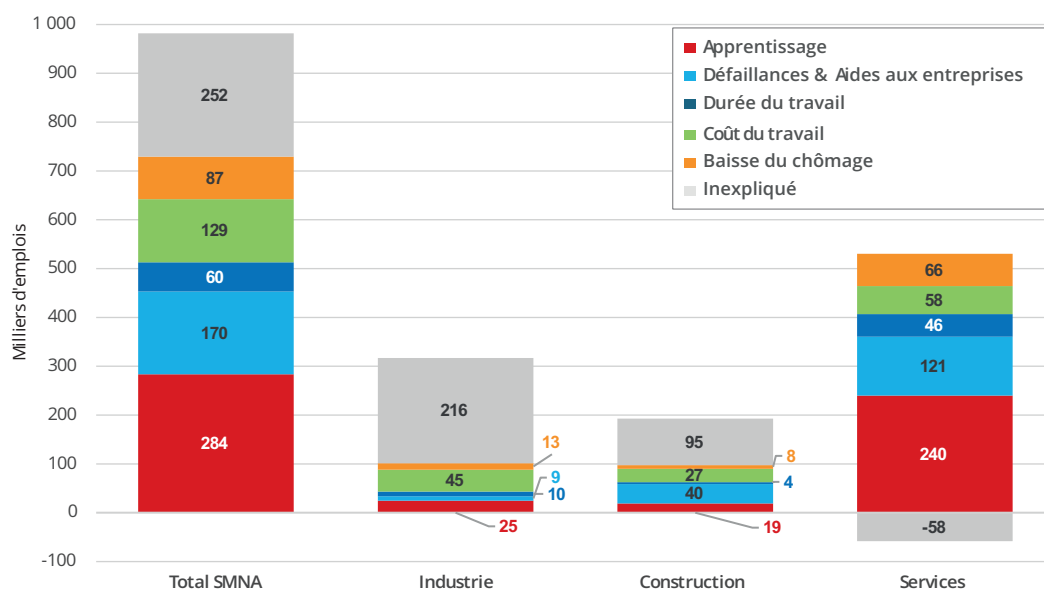
20.

Sachant que nous n'identifions pas directement les politiques de soutien de la demande (par exemple la rénovation énergétique) comme ayant pu stimuler l'emploi dans ce secteur.

21.

Soulignons cependant que dans les secteurs de la construction les évolutions de la productivité sont de tout temps difficiles à expliquer. Un argument souvent avancé étant celui du travail non déclaré, difficile à mesurer et à relier à la valeur ajoutée dont on ignore si elle est dans ce cas déclarée ou non.

Graphique 6. Déterminants des emplois salariés surnuméraires par secteur (2019-T4 à 2024-T4)



Insee, Dares, Banque de France, calculs des auteurs.

Note : secteurs marchands non-agricoles. Le nombre d'emplois à expliquer dans chaque secteur, et la tendance de productivité contrefactuelle dans chaque secteur également sont issus du tableau 1.

Lecture : le modèle 1 (encadré) décompose les déterminants expliquant 982 000 d'emplois surnuméraires en regard du nombre qui auraient été créés dans chaque secteur d'activité si le trend de productivité du secteur s'était prolongé sans choc sur son rythme de croissance antérieur à la pandémie. L'apprentissage contribue à expliquer 240 000 emplois dans les services et 25 000 emplois dans l'industrie. Dans les services le pouvoir explicatif du modèle 1 est très fort, aussi le résidu peut être négatif (comme ici -58 000 au 4^e trimestre 2024) ou positif sans que cela ait une signification particulière.

Encadré 1. Le modèle de demande de travail

Modèle 1

L'équation de demande de travail des entreprises, écrite sous la forme d'un Modèle à correction d'erreurs (MCE), est issue de l'optimisation sous contrainte budgétaire (ici minimisation des coûts de production) d'une fonction de production à élasticité de substitution constante (CES).

L'emploi de la branche i dépend de la valeur ajoutée de la branche, du coût salarial réel de branche et d'une tendance de productivité du travail de l'emploi salarié total (*trend*).

Dans cette formulation, le progrès technique est neutre au sens de Harrod. Cela suppose qu'il ne porte que sur le facteur travail et assure un ratio capital sur production constant à long terme, condition nécessaire à l'existence d'un sentier de croissance équilibrée.

À long terme, compte tenu de la présence d'un *trend* de productivité, l'emploi est indexé unitairement sur l'activité mais l'existence de rigidités induit des délais d'ajustement à court terme.

Nous enrichissons cette formulation traditionnelle de l'équation de demande de travail, proche de celle estimée notamment dans Ducoudré, Heyer et Plane (2017) ou Heyer (2020), en y intégrant des données sur faillites d'entreprises ainsi que sur le nombre d'apprentis par secteur.

Du fait de leur évolution favorable malgré la forte baisse d'activité constatée, les défaillances d'entreprises sont ici un proxy des aides accordées aux entreprises en marge de la crise sanitaire. Les défaillances étant fortement corrélées à l'activité dans le secteur, nous avons dans un premier temps calculé un taux de défaillances, ratio du nombre de faillites à la valeur ajoutée du secteur^(a), puis nous avons extrait sa tendance à l'aide d'un filtre Hodrick-Prescott que nous avons stabilisé à sa valeur de fin 2019 pour les années 2020-2024^(b). Afin de prendre en compte des effets dans leur intégralité, nous avons ensuite calculé l'écart cumulé entre le taux et sa tendance pour les défaillances d'entreprises pour chaque secteur.

(a) Une pondération par la taille des entreprises aurait été utile, mais les statistiques de défaillances d'entreprises de la Banque de France ne croisent pas taille et secteur. Il en est de même pour les créations d'entreprises, ce qui empêche de prendre en compte les microentreprises dans notre variable.

(b) Une alternative aurait pu consister à suivre la tendance observée. Notre hypothèse amplifie le phénomène : elle change le résultat quantitatif (écart absolu) mais pas le résultat qualitatif (sens de variation significatif) et augmente l'élasticité estimée et peu l'effet global.

Par ailleurs, l'estimation incorpore des effets fixes sectoriels et temporels. L'introduction de ce dernier dans l'équation permet de capturer l'effet agrégé d'un choc macroéconomique sur l'emploi. Cette spécification contrôle ainsi l'effet direct lié à une crise macroéconomique, à l'instar de la crise de la Covid-19, sur l'emploi. Les différentes élasticités estimées s'interprètent en complément de cet effet macroéconomique. Cela nous permet notamment de tester l'idée selon laquelle le marché du travail serait davantage impacté par une crise qui s'accompagne de faillites d'entreprises (Banerjee *et al.*, 2020b).

Nous avons estimé cette équation de demande de travail en panel sur la base des comptes nationaux de branches dans la nomenclature A17. Pour des raisons de disponibilité de données concernant les défaillances d'entreprises ainsi que les contrats d'apprentissage, sont exclus de l'analyse les secteurs de l'Agriculture (AZ) et de l'Administration publique, l'Enseignement, la Santé humaine et action sociale (OQ). Pour cette même raison, l'industrie n'est par ailleurs pas décomposée en sous-secteurs.

Au total, notre estimation comporte un panel de dix branches et a été réalisée sur la période 1995-2024, soit 1200 observations, à l'aide de la Méthode SUR (Seemingly Unrelated Regressions).

Dans ce MCE, une contrainte d'égalité sur les coefficients de long terme est imposée en fonction du regroupement des branches en nomenclature A17. Le coefficient de la force de rappel est également contraint de façon à s'assurer que ce dernier est bien négatif pour toutes les branches.

Modèle 2

Dans ce modèle, nous imposons le ratio entre non-salariés et salariés dans l'équation de long terme, et nous estimons l'effet de sa variation dans la dynamique de court terme.

Modèle 3

Ce modèle réplique le modèle 1 en remplaçant l'emploi salarié marchand par le total de l'emploi salarié et non salarié de ce même secteur.

Modèle 1 : modèle à correction d'erreur de la demande de travail salarié marchand

$$\begin{aligned} \Delta \log(ES_{i,t}) = & \alpha - \gamma_{ES} \left(\log(ES_{i,t-1}) - \log(VA_{i,t-1}) - \sigma_{ES} \cdot \log \left(\frac{W_{i,t-1} \cdot (1 + tx_{cot.pat_{i,t-1}})}{Pva_{i,t-1}} \right) - \beta_{ES,i} \cdot (\sigma_{ES} - 1) \cdot trend - \delta_{ES} \cdot \log(HLS_{i,t-1}) \right) \\ & + \kappa_{ES,i} \cdot \sum_{j=1}^n \Delta \log(ES_{i,t-j}) + \tau_{ES,i} \cdot \sum_{j=0}^n \Delta \log(VA_{i,t-j}) + v_{ES,i} \cdot \sum_{j=0}^n \Delta \log \left(\frac{W_{i,t-j} \cdot (1 + tx_{cot.pat_{i,t-j}})}{Pva_{i,t-j}} \right) + \varphi_{ES,i} \cdot \sum_{j=0}^n \Delta \log(HLS_{i,t-j}) \\ & + \pi_{ES,i} \cdot \sum_{j=0}^n EC_{TxDef_{ent_{i,t-j}}} + \omega_{ES,i} \cdot \sum_{j=0}^n \Delta \log(Apprent_{i,t-j}) + \partial_{ES,i} \cdot \sum_{j=0}^n \Delta U_{t-j} + \mu_i + \mu_t + \varepsilon_{i,t} \end{aligned}$$

Modèle 2 : modèle à correction d'erreur de la demande de travail salarié et non-salarié marchand

$$\begin{aligned} \Delta \log(ES_{i,t}) = & \alpha - \gamma_{ES} \left(\log(ES_{i,t-1}) - \log(VA_{i,t-1}) + \log \left(1 + \frac{Ens_{i,t-1}}{ES_{i,t-1}} \right) - \sigma_{ES} \cdot \log \left(\frac{W_{i,t-1} \cdot (1 + tx_{cot.pat_{i,t-1}})}{Pva_{i,t-1}} \right) - \beta_{ES,i} \cdot (\sigma_{ES} - 1) \cdot trend - \delta_{ES} \cdot \log(HLS_{i,t-1}) \right) \\ & + \kappa_{ES,i} \cdot \sum_{j=1}^n \Delta \log(ES_{i,t-j}) + \tau_{ES,i} \cdot \sum_{j=0}^n \Delta \log(VA_{i,t-j}) + v_{ES,i} \cdot \sum_{j=0}^n \Delta \log \left(\frac{W_{i,t-j} \cdot (1 + tx_{cot.pat_{i,t-j}})}{Pva_{i,t-j}} \right) + \varphi_{ES,i} \cdot \sum_{j=0}^n \Delta \log(HLS_{i,t-j}) \\ & + \pi_{ES,i} \cdot \sum_{j=0}^n EC_{TxDef_{ent_{i,t-j}}} + \omega_{ES,i} \cdot \sum_{j=0}^n \Delta \log(Apprent_{i,t-j}) + \partial_{ES,i} \cdot \sum_{j=0}^n \Delta U_{t-j} + \psi_{ES,i} \cdot \sum_{j=0}^n \Delta \frac{Ens_{i,t-1}}{ES_{i,t-1}} + \mu_i + \mu_t + \varepsilon_{i,t} \end{aligned}$$

Données utilisées et mnémoniques

W : Salaire moyen brut par tête, en euros, INSEE

Pva : Prix de la valeur ajoutée, INSEE

Es : Emploi salarié, personnes physiques, INSEE

Ens : Emploi non-salarié, personnes physiques, INSEE

π : Productivité du travail par tête, INSEE

HLS : Volume horaire de travail des salariés, en heures, INSEE

VaVol : Valeur ajoutée en volume, INSEE

Txcotpat : Taux de cotisations patronales, INSEE (effectif)

TxDef_{ent} = **Def_{ent}** / **VA** : Taux de défaillances d'entreprises (**Def_{ent}** = nombre de défaillances, Banque de France)

EC_{TxDef_{ent}} : Écart cumulé du taux de défaillances d'entreprises (par rapport à sa tendance mesurée par un filtre de HP)

U : Taux de chômage au sens du BIT, INSEE

Apprent : Stock d'apprentis, DARES, auteurs.

L'emploi non-salarié a eu peu d'effet dans la période récente

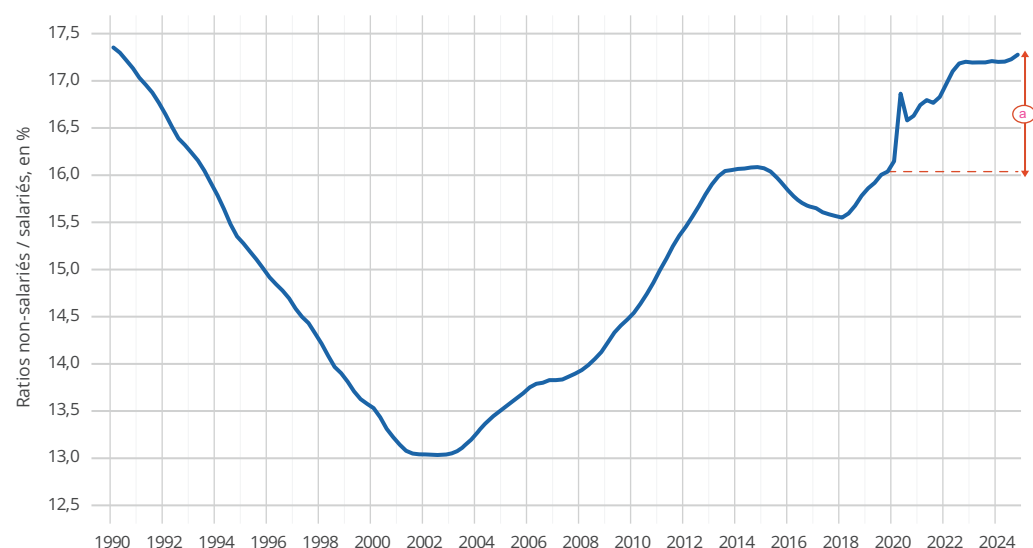
La croissance de la productivité du travail est usuellement identifiée à celle des salariés des SMNA, ce qui implique que l'ensemble de la valeur ajoutée marchande est attribuée à ces derniers, comme si les non-salariés n'en avaient aucune. Cette approximation est correcte tant que les ratios entre d'une part le nombre salariés et non-salariés, et d'autre part la production horaire de ces deux catégories d'actifs, sont constants.

Mais la décline tendancielle du non-salariat s'est retournée au début des années 2000 (graphique 7), puis cette reprise s'est accélérée avec la création du régime des microentrepreneurs en 2008. Cette croissance du nombre de non-salariés a marqué le pas de 2015 à 2018 avant de reprendre à un rythme soutenu, les non-salariés représentant 27 % des créations d'emplois depuis 2019, plus de deux fois leur poids dans l'emploi total.

Cet enrichissement de la croissance en emplois non-salariés induit une productivité tendancielle plus faible (+0,8 % par an, tableau 2) que celle mesurée avec les seuls salariés (+0,9 % par an, tableau 1). En effet les nouveaux non-salariés se recrutent plus fréquemment à la marge des catégories actives, leur profil est assez différent des indépendants « classiques » : leur revenu et leur durée du travail sont plus faibles, si bien qu'en moyenne la valeur ajoutée et la durée du travail moyennes de l'ensemble des non-salariés diminuent tendancielle.

Enfin, même si la hausse du nombre de non-salariés est très forte, la nouvelle base des comptes nationaux a sensiblement modifié le partage entre créations d'emplois salariés (révisées à la hausse) et non-salariés (révisées à la baisse) induisant un effet sur la productivité de ces deux groupes d'actifs.

Graphique 7. Ratio non-salariés / salariés (1990-2024)



INSEE, calculs des auteurs. Secteurs marchands non-agricoles, emplois ETP.

Lecture : fin 2024 les emplois non-salariés (3,0 millions) représentaient 17,3 % de l'emploi salarié (17,4 millions), en hausse de 1,3 % par rapport à fin 2019. Si l'emploi salarié avait cru à la même vitesse que l'emploi non-salarié, ce ratio serait demeuré constant à 16 %, et on aurait comptabilisé 222 000 emplois (a) salariés de plus fin 2024.

Pour évaluer l'impact de cette transformation structurelle sur l'évolution récente de la productivité, nous faisons évoluer notre équation de demande de travail en adoptant deux stratégies différentes.

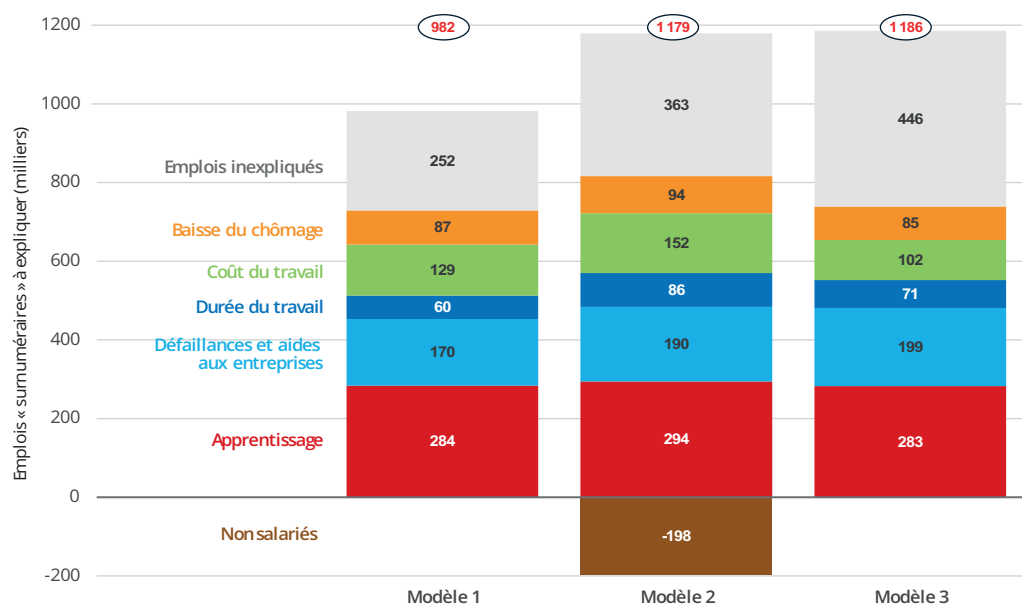
Le modèle 2 (encadré) estime la demande de travail salarié marchand comme le faisait le modèle 1, mais en ajoutant une variable illustrant l'influence de la hausse du taux de non-salariés sur l'excès d'emplois salariés marchands. Après une période de stabilité ce ratio a de nouveau enregistré une forte hausse depuis 2020. En faisant l'hypothèse qu'il se serait stabilisé à sa valeur de fin 2019, le surcroît de créations d'emplois salariés marchands qu'il aurait fallu expliquer par d'autres déterminants que ceux de notre équation standard de demande de travail aurait atteint 1,179 million. Le modèle estime en effet que 198 000 nouveaux non-salariés se sont substitués à des créations d'emplois salariés marchands, soit une valeur proche de la hausse du rapport entre non-salariés et salariés entre la fin 2019 et la fin 2024 (graphique 7). Si globalement l'ordre d'importance des variables explicatives n'est pas modifié par rapport au modèle 1, l'ampleur de leur influence est sensiblement amoindrie, si bien que le modèle 2 n'explique que 69 % du surplus total d'emplois salariés qui auraient été créés en l'absence d'une hausse de la part des non-salariés dans l'emploi. Comme en outre cette spécification considère comme exogène les créations d'emplois non-salariés, sans expliquer les raisons de leur dynamisme (coût relatif du travail, aides aux créateurs d'entreprises, etc.), elle apparaît à tous points de vue moins satisfaisante que le modèle 1 tout en étant plus complexe.

Le modèle 3 est identique au modèle 1 mais identifie les déterminants des créations d'emplois marchands surnuméraires sans distinction de statut. Nous cherchons à expliquer l'emploi total (salariés + non-salariés) des SMNA, soit un surnombre de 1,186 million d'emplois par rapport à ce que laissait attendre la croissance de la valeur ajoutée marchande : la valeur ajoutée est la même que dans le modèle 1, mais la variable d'emploi est ici l'emploi total des SMNA (salariés + non-salariés), et la tendance de productivité est plus faible (tableau 2). A nouveau l'ordre d'importance des différentes variables explicatives n'est pas profondément modifié, si ce n'est l'influence plus réduite de la durée du travail. Le modèle n'explique cependant que 62 % des créations d'emplois surnuméraires, résultat sensiblement inférieur à celui des deux autres modèles (graphique 8).

En première approche la manière dont nous avons pris en compte le dynamisme des créations d'emplois non-salariés dans la période récente ne nous permet pas de mieux expliquer le contenu en emploi de la croissance.

L'influence des emplois non-salariés pourrait faire l'objet d'une investigation spécifique, notamment si l'on retient l'idée qu'ils se substituent en partie à des emplois salariés, possiblement en raison d'un coût relatif beaucoup plus avantageux pour les employeurs, qui pourrait inciter ces derniers à sous-traiter du travail à des micro-entrepreneurs plutôt que d'embaucher des salariés en contrat court ou des intérimaires dont le coût du travail est plus élevé.

Graphique 8. Contributions aux créations d'emploi surnuméraires incluant les non-salariés



Insee, Dares, Banque de France, calculs des auteurs.

Note : secteurs marchands non-agricoles.

Les nombres d'emplois à expliquer et les tendances de productivité contrefactuelles retenus pour chaque modèle sont issus des tableaux 1 et 2. Le nombre d'emplois à expliquer par rapport à la tendance de productivité d'avant-pandémie est le nombre de salariés pour les modèles 1 et 2, et l'ensemble salariés et non-salariés pour le modèle 3.

Lecture : le modèle 1 décompose les déterminants expliquant 1,179 million d'emplois salariés surnuméraires en regard du nombre qui auraient été créés si le trend de productivité s'était prolongé sans choc sur son rythme de croissance antérieur à la pandémie. L'apprentissage contribue à expliquer 284 000 emplois, les aides aux entreprises 170 000.

Tableau 2. Valeur ajoutée et emploi total SMNA

Évolutions attendues et observées (2019-T4 à 2024-T4)

Secteurs Marchands Non-Agricoles / Salariés		Industrie	Construction	Services	Total
Tendance de la productivité par tête / an (%) (a)		+1,5	-0,0	+0,8	+0,8
Valeur ajoutée (%)					
Évolution cumulée observée de la VA		-1,0	-7,3	+8,1	+5,5
Emploi (%)					
Évolution cumulée attendue	(b-5*a)	-8,0	-7,1	+4,2	+1,5
Évolution cumulée observée	(c)	+3,3	+6,6	+8,4	+6,2
Emplois cumulés à expliquer	(c-b-5*a)	+11,3	+13,7	+4,1	+4,7
Emploi (milliers)					
Évolution cumulée attendue	(d)	-239	-134	+618	+245
Évolution cumulée observée	(e)	+68	+84	+919	+1 431
Emplois surnuméraires à expliquer	(e-d)	+296	+259	+576	+1 186

INSEE, Ducoudré & Heyer (2017), auteurs.

Note : les valeurs sont arrondies à la deuxième décimale, ce qui peut faire apparaître des écarts significatifs dans ce tableau simplifié, notamment entre les données annuelles et quinquennales en %.

Conclusion

Au total ces modélisations lèvent une grande part du mystère de la productivité en France dans les années récentes. Les contributions des politiques publiques actées dans le cadre du plan de relance, pour certaines prolongées ensuite, expliquent trois quarts des emplois surnuméraires créés depuis 2019 (graphique 6 et 8).

Ces estimations apparaissent stables dans le temps, mais suggèrent aussi en creux que la durabilité de ces emplois est très dépendante des financements publics qui les accompagnent²². C'est notamment le cas des deux principaux moteurs qui expliquent 45 % des emplois surnuméraires : l'apprentissage apparaît vulnérable à la recherche d'efficience des dépenses budgétaires tandis que les aides exceptionnelles aux entreprises ont cessé d'être alimentées si bien que leur effet sur l'emploi s'amenuise naturellement. Les contributions positives de la baisse du chômage, du coût et de la durée du travail devraient quant à elles se réguler spontanément sous l'effet du ralentissement conjoncturel en cours.

22.

En ceci nos conclusions diffèrent sensiblement de Askenazy *et al.* (2024) qui concluent que les facteurs explicatifs de la panne de productivité qu'ils identifient auraient un effet pérenne sur l'emploi.

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Rates Spark: Snail's pace, but getting there

Discomfort from closure of the Strait is slowly amplifying. The US 10yr break-even inflation rate is edging towards 2.5%. Far from catastrophic, but if it were to break above, it would be a growing problem, for both Treasuries and the Federal Reserve. Central banks this week to be laser focussed on this. Every day the "war" continues, it adds to the pressure



The US 10yr inflation breakeven is at its highest level since the Iran war broke out

The US 10yr inflation breakeven rate threatens a break above 2.5%

The most significant dynamic for market rates is the edge higher in inflation expectations. The entire inflation curve shifted higher through Monday, in tandem with an edge higher in the price of oil. No huge surprise there, given the ongoing (virtual) closure of the Strait of Hormuz. The 10yr inflation breakeven, in fact, hit its highest level (at 2.45%) since the war broke. It's, in fact, been a tad surprising that longer tenor inflation had not seen a more marked rise so far.

Most of the rise in inflation breakevens has been in shorter tenors, e.g. the 2yr had a tendency to trade at or about 3% a few weeks into the war, and while off highs now, it remains elevated. We can reverse engineer an actual inflation profile here, where it rises to the 4% area, and then backs right back down to sub-2% a year after the peak in inflation is hit. It gets there through the

realisation of the future profile for the oil price (ultimately lower), and base effects.

We're in the 4.25% - 4.5% range envisaged for the 10yr, but the longer we continue with the Strait closed, the greater is the risk we head towards 4.5%

However, before we can latch on to the subsequent fall in inflation, we must first map out an ongoing rise in inflation, and that rise becomes more ingrained the longer the Strait of Hormuz remains closed. A key matrix to watch here is the 10yr inflation breakeven. It remains below 2.5%, so far. But if it were to rise above 2.5%, and keep going, it would be really tough for the Fed to consider rate cuts. It would also be outright negative to 10yr Treasuries.

Our central thesis continues to envisage a settlement of sorts sooner rather than later. The soundings out of the US side continue to echo a preference to find a way to conclude the conflict. From Iran, the messaging remains cryptic, but there are the ingredients of a deal to be done. It seems that the Revolutionary Guard is doing most of the negotiating, and it seems there is a back and forth ongoing, enough to avert a kinetic breakout.

Central bank focus this week

With all this going on, we're not expecting a whole lot from central banks this week (apart from the BoJ, which *could* hike). No change in official rates is expected from the ECB or Fed at least. Both should sound hawkish, especially the ECB. The BoE also holds pat. Ahead, the ECB hikes once, maybe. Just 25bp, assuming an end-game relatively soon.

The Fed does not hike (the next move is still down). That, against the market discount, implies downside to front-end rates. Back-end rates, though, should remain elevated, with upward pressure coming from a bad for a run for inflation in the months ahead. So short duration, and a steeper curve.

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Singapore's growth engines remain intact despite rising energy pressures

While the impact of higher oil prices has so far been manageable, cost pressures are beginning to surface and are likely to weigh more visibly on activity in coming quarters. That said, resilient services growth, strong public capex, and targeted policy support should keep the overall growth slowdown modest



We're expecting Singapore's GDP growth to moderate in the second half of the year amid persistently higher energy prices – although the slowdown is likely to be modest

Singapore industrial output came in higher than expected

Industrial production recorded a strong upside surprise in March, expanding by 10.1% year-on-year, well above market expectations of around 6%. The surge was driven primarily by electronics output, which rose 30% YoY, almost entirely on the back of a sharp recovery in semiconductor production. Electronics accounted for the majority of the increase in industrial production during the month.

The strength in electronics production was underpinned by a pronounced acceleration in electronics exports, which jumped 74% YoY in March, lifting overall first-quarter electronics export growth to 58% YoY. This performance is consistent with the strong momentum in AI related exports observed in other Asian economies, including Taiwan and Korea.

Precision engineering output also remained robust, growing 14% YoY and ranking as the second-largest contributor to overall IP growth. The segment accounted for roughly 18% of total industrial production growth in March, underscoring the broadening momentum beyond semiconductors.

Impact of higher oil prices yet to be fully felt

High frequency indicators suggest that activity in Singapore's externally oriented sectors has so far remained broadly resilient following the onset of the Middle East conflict. In particular, port activity stayed above its historical average in March, pointing to limited near term disruption to trade and logistics flows.

Both oil import and export growth turned positive in March, reversing the contraction seen in the months prior. This improvement likely reflects higher global oil prices. Notably, the oil trade balance slipped into deficit for the first time since November 2025. This suggests that while the drag from higher oil prices on economic activity has been relatively muted so far, pressures will start to surface and are likely to intensify over the coming quarters.

Operating costs have already risen across transportation, logistics, and manufacturing, leading to margin compression. According to the Monetary Authority of Singapore's (MAS) estimates, energy related cost pressures are most pronounced in the wholesale trade sector, which accounts for around 19% of GDP. Roughly half of wholesale trade's input requirements are sourced from the energy intensive transport and storage sector – particularly water transport services – making it especially vulnerable to sustained energy price shocks.

At the industry level, petroleum, gas and electricity, petrochemicals, basic chemicals, transportation, and water services are identified as the most energy exposed sectors. In these industries, energy inputs account for more than 10% of total input requirements, implying limited capacity to absorb further increases in energy costs without a material impact on margins or downstream prices.

What this means for GDP growth

After a relatively strong first-quarter GDP growth of 4.6% YoY, we expect Singapore's GDP growth to moderate in the second half of the year as persistently higher energy prices weigh on costs and profitability.

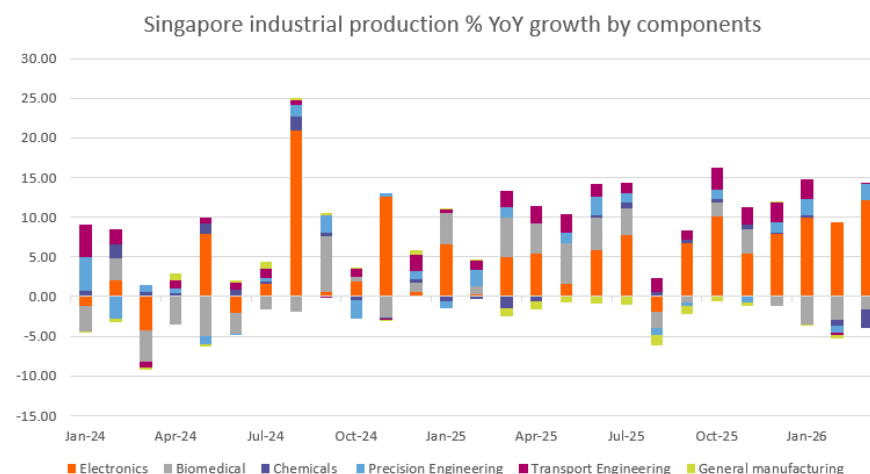
That said, any slowdown is likely to be modest, as several offsetting factors remain in place. Policy measures aimed at cushioning household consumption should provide meaningful support, including utility rebates to offset higher electricity prices, cash handouts, and targeted sector specific assistance. In addition, public capital expenditure continues to be a key pillar of growth. Large scale projects – such as the development of Changi Airport Terminal 5, ongoing Housing & Development Board programmes, the construction of Cross Island Line Phase 2, and elevated defence spending – are helping to sustain overall economic momentum despite a more challenging external environment.

Within services, growth in the IT services segment (under the information and communications sector) has held up well, likely reflecting sustained demand for data hosting and digital infrastructure. Financial services have also remained resilient, as evidenced by the strength of equity markets and the Singapore dollar. The SGD continues to stand out as one of the few Asian currencies to post positive year to date returns, underscoring its perception as a relative safe

haven amid heightened global uncertainty.

Overall, we maintain our relatively strong GDP growth target of 3.3% for 2026.

Singapore industrial production growth



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Middle East stasis set to keep Fed on hold at Chair Powell's swan song

Next Wednesday, the Federal Reserve is widely expected to leave monetary policy unchanged in an environment where the economy continues to grow, albeit with intensifying headwinds, and transportation fuel costs are pushing inflation higher



Fed Chair Jerome Powell's term is set to end on 15 May

Rate cuts remain more likely than hikes

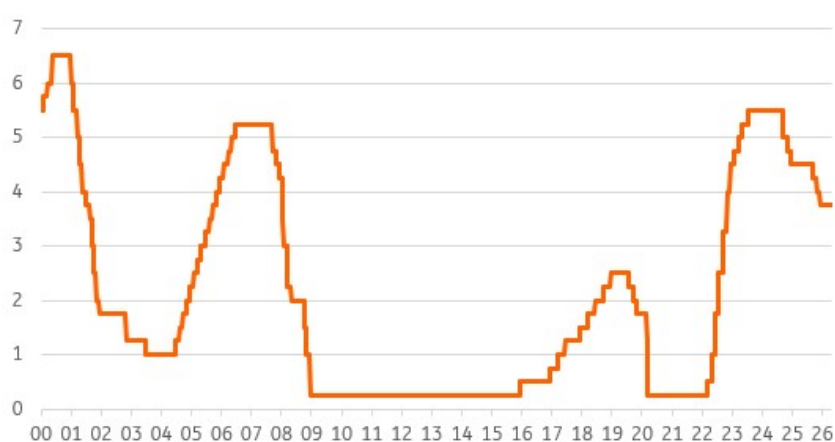
Absolutely nothing is priced in terms of Fed funds futures contracts for the 29 April Federal Reserve policy decision, but the market still leans in the direction of eventual rate cuts with around 10bp of easing priced by the end of the year. The Fed itself continues to have one 25bp rate cut within its March economic projections for 2026, while the consensus amongst economists remains a little more aggressive, predicting two 25bp cuts in the latter part of the year. We also continue to forecast two rate cuts this year, one in September and one in December.

The main interest will be Jerome Powell's press conference which, in theory, will be his last given his term as Chair ends on 15 May. As such, there will be questions over how he sees his legacy and his relationship with President Trump and whether he will choose to stay on at the Fed given his term as a Governor doesn't end until January 2028. However, it may not actually be his last as Fed Chair. Until Republican Thom Tillis is satisfied that the Department of Justice's "vindictive

prosecution" of Jerome Powell, tied to the renovation of the Fed's headquarters, has been brought to an end, the confirmation of Kevin Warsh as his successor will remain blocked at the Senate Banking Committee stage. Powell has already said he will stay on as chair "pro tempore", which would only intensify tensions between the Fed and the President.

In terms of the outlook for monetary policy, we are unlikely to get anything particularly revelatory. The minutes from the last decision suggested that the "vast majority" of the FOMC membership saw employment risks as skewed to the downside, while progress on inflation was likely to be slower because of the economic headwinds being generated by developments in the Middle East. This is likely to remain the way the committee assesses the situation with little prospect of any immediate change in policy signalled.

Fed funds ceiling (%)



Source: Macrobond

Inflation likely to be transitory with the jobs markets still stalled

In terms of inflation, it has been five years since either headline or core consumer price inflation were at or below the 2% target, and higher fuel and airline fares mean CPI looks set to break back above 4% imminently. The Federal Reserve can't do anything to ease the current energy supply shock though. Instead, its focus is to ensure that inflation expectations remain contained and, for now, that seems to be the case. Hence the mildly hawkish rhetoric coming from officials.

Importantly, the current supply shock, focused on fuel prices, is not as broad as the pandemic-related supply chain stresses in 2020/21, and we don't have the same sort of demand impetus that would risk a broader, more persistent inflation story.

Real household disposable incomes are already flatlining, so we see higher fuel prices as being demand destructive via reduced spending power. This is set to weigh on core inflation, and we also need to remember the importance of shelter costs within the US inflation basket (35.5% weighting for headline and 44% for core), which we expect to moderate further. Moreover, if Middle East tensions ease and oil prices drop back to below where they are today, there is a high probability of sub-2% year-on-year inflation being achieved in 2027.

In terms of jobs, there are only 260,000 more people in work today than 12 months ago, implying

that the jobs market has effectively stalled during a period when the US growth story was robust. Our concern is that with the Middle East tensions showing little sign of coming to an imminent conclusion, an overlay of heightened geopolitical, economic and market angst is not going to incentivise business to suddenly start hiring now. In fact, with cost pressures rising and consumer spending power being squeezed, corporate profitability will face more challenges and runs the risk that employers will look to cost containment measures. This threatens weaker payrolls numbers in the coming months.

The Federal Reserve has to optimise monetary policy for two very different goals – inflation and jobs. It still views the current stance of monetary policy as being modestly restrictive. With a new, more dovish Fed Chair taking office and key elections this year, which will keep up the political pressure for action, we look for September and December Fed cuts.

The balance sheet and prognosis for Treasuries

Since the T-bills buying programme (re)commenced in mid-December, holdings of bills have risen to over USD\$425bn (from USD\$195bn). That has expanded the Fed's overall “securities” holdings (including bills) by some USD\$185bn. The Fed did this to help boost bank reserves, which had fallen to below USD\$3tn, coinciding with repo tightness, and in consequence saw the effective funds rate rise right up to just 1bp short of the rate paid on reserves. Since then, repo pressure has eased, and this week, the New York Fed announced a reduction in monthly T-bills buying from USD\$40bn to USD\$25bn. This is a purely operational move, completely within its authority and as agreed at a prior FOMC meeting. Still, Chair Powell could get some questions on this, or indeed he could comment on it up front. It certainly suggests a degree of comfort on the part of the Fed over liquidity conditions.

There is also a link here with the incoming chair, Kevin Warsh. He has an ambition to reduce the Fed's holdings of bonds, and in particular, Mortgage Backed Securities. Currently, the Fed holds just under USD\$2tn of these, and continues to roll them off as they mature. It's a slow process though, running at some USD\$10-15bn per month. Chair Powell could get quizzed on this, too. Any acceleration in roll-off, e.g. outright selling, would place upward pressure on longer-term Treasury yields, as any selling would likely occur in longer tenors. There is no stated plan here. It's all supposition at this stage. But it's very market relevant. The odds are that Chair Powell swats away questions on this, as his FOMC has a steady-as-she goes policy, and he won't comment on what Kevin Warsh might do. But still, worth asking the question(s). Beyond that, the bulk of the Treasury-relevant issues will centre on inflation expectations as seen through the Powell prism.

Potentially some upside risks for the dollar

Even though the Fed story is far less of a driver for the dollar than events in the Middle East, the FX market will still take note of the FOMC statement and Chair Powell's press conference. Part of the market's enduring demand for risk assets this year has rested on the expectation that the Fed will help out with rate cuts (and a weaker dollar).

Depending on how tough Chair Powell sounds on monitoring the inflation threat, and of course, depending on where energy prices are at the time, we see some potential upside risks to the dollar from this FOMC. Should Chair Powell echo any of the recent comments by Christopher Waller that the longer energy prices stay high, the greater chance of unchanged policy, then some bearish flattening of the yield curve could give the dollar a lift across the board.

If that is the case, EUR/USD could be heading down towards the 1.15 area consistent with the 'Prolonged Disruption' scenario presented in our [recent update](#). Depending on how hawkish the Bank of Japan has been at its meeting the day before the FOMC, USD/JPY could be embarking on a sustained push above 160. One week realised USD/JPY volatility has recently dipped to 5%, which is exceptionally low for this pair. Given the unstable global backdrop, April's two-yen range in USD/JPY looks too narrow and at this stage, the upside looks the path of least resistance.

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THINK Ahead: Central bankers' balancing problems

Central bankers face an unenviable task next week. Nobody knows where the crisis in the Middle East is going next. Nor is the data telling them how to act. Markets are bracing for rate hikes, yet the case for action is far from clear-cut. James Smith weighs up the dilemma as the team builds us up to next week's Fed, ECB and Bank of England meetings



Trying to find the right balance is tough for central bankers such as Christine Lagarde

A day in the life of a central banker

Imagine for a moment you're a central bank boss here in Europe. Not a great role play right now, if I'm honest, given, well... *gestures at everything going on in the world right now*

You have the unenviable task not only of setting policy next week, but also of coming up with a coherent message about what you might do in June.

Let's start with the bad news: having kept all your options open in March and intimated you'd have a better grip of the situation by April, the truth is quite the opposite.

The better news is that nobody else has a clue where the crisis is headed, either. Another week of

contradictory headlines and stalemate in the Strait of Hormuz has made the situation, if anything, harder to forecast. Polymarket, to the extent that it is a reliable gauge of anything, is pricing a 28% chance of a permanent peace deal by the end of May, down from 74% a week ago.

Better still, markets aren't expecting a rate hike this month, anyway. Not from the Fed, ECB or Bank of England. An "on hold" decision looks like a no-brainer.

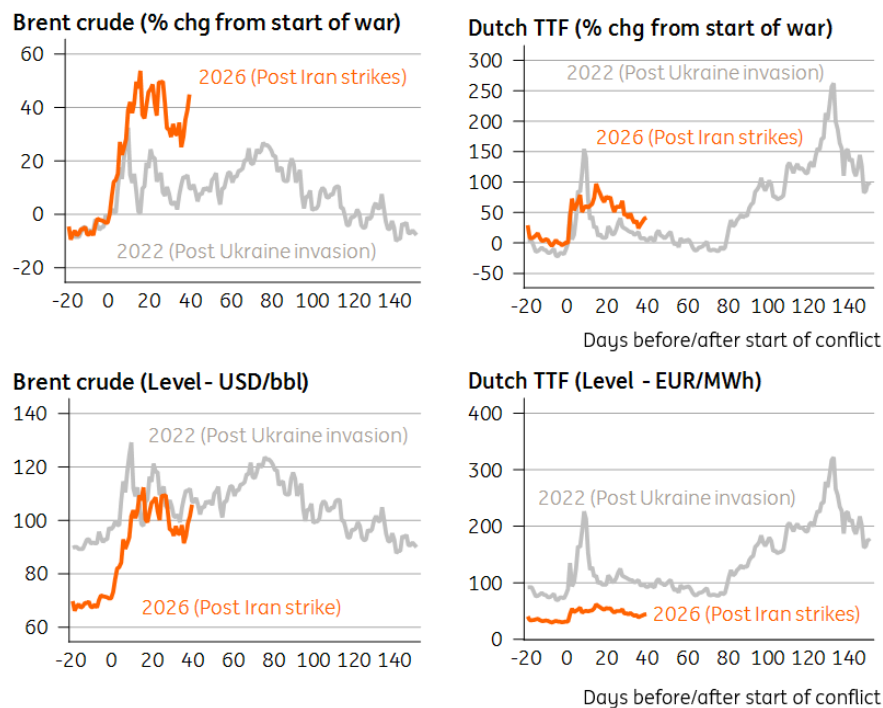
Time is on your side, but perhaps not for long. Markets are pricing upwards of two rate hikes for the eurozone and UK by year-end. A June rate rise is near-enough fully priced.

Your central challenge is that the data isn't proving to be much of a guide right now. Inflation is up, but so far only because of motor fuel. We'll get new numbers out of Europe over the coming days, but they're unlikely to tell us much about the knock-on impact on core or food inflation. That's going to take time; it's not clear you'll be much the wiser by June, even.

Surveys aren't proving to be much more help either. Consumer inflation expectations are up (especially in the UK). But confidence is down. And while surveys of corporates – including this week's [purchasing manager's indices](#) – are unsurprisingly showing higher input costs, there's only limited evidence that this is translating into a rise in output prices.

The one thing you can at least point to is natural gas prices. The problem in 2022 was that it became both an oil and an electricity crisis, the latter being a particular issue for core inflation. So far, this has proven to be only the former. Natural gas prices are much more contained than post the Ukraine invasion, in level terms if not in percentage changes. That's a powerful argument in favour of keeping rates on hold for now.

How the energy crisis compares to 2022



Source: Macrobond, ING

So here's your conundrum: Ideally you don't want to hike interest rates at all. It's fairly established wisdom now that the economic backdrop to this crisis is very different to the 2022 energy shock. And the more rate hikes markets price in, the tighter financial conditions become, and the more economic growth is going to take a hit.

Equally, having some limited tightening priced in is not entirely unhelpful, even if you can't say that bit out loud. Rate hike expectations are keeping market measures of inflation expectations in check. The eurozone five-year inflation swap, priced five years forward – a gauge of longer-term inflation expectations – sits at 2.14%. That's barely higher than it was before the war began.

The thing is, though, at some point, investors might start to think you're all bark and no bite. The longer you don't hike rates, the more likely it is that those inflation expectations start creeping up. Having been accused of being too slow to react four years ago, the last thing you want is to go down in the history books for making the same mistake twice. Fed Governor Christopher Waller's [speech last week](#) entitled "one transitory shock after another" spoke to that anxiety.

And after all, what's one or two rate hikes going to do, anyway? Then you remember that the ECB tried doing exactly this in both 2008 and 2011, only to be forced into awkward U-turns within months.

There are no good options right now – other than to keep everything on the table. The situation is delicate, one that requires you to keep the threat of hikes alive, without opening the floodgates for markets to price in yet more tightening. And if you're lucky, you might not end up having to deliver much, if anything, at all.

Is anyone even listening right now, though? Just look at poor old Andrew Bailey at the Bank of England. He told investors in no uncertain terms at the start of the month that he didn't think it needed to hike rates. And markets completely ignored him. Our Rates Strategy team have been arguing that interest rate expectations are being influenced by oil prices and not much else right now.

As my colleague Francesco put it in his [scenarios for next week's ECB meeting](#), you – the central bank – would have to come out with a real surprise to trigger an enduring market move. And that's a brave call to make at a time of such extreme geopolitical uncertainty.

Alright, that's quite enough time in a central banker costume for one day... Jump back into the real world and read on for exactly what our team are expecting from the major central banks next week.

James Smith

THINK Ahead in developed markets

United States (James Knightley)

- **Rate Decision** (Wed): The Federal Reserve will leave monetary policy unchanged next week in what is scheduled to be Jerome Powell's last meeting as Fed Chair. The minutes to the last decision suggested that the "vast majority" of the FOMC membership saw employment risks as skewed to the downside, while progress on inflation was likely to be slower due to economic headwinds from developments in the Middle East. This is likely to remain the way the committee assesses the situation, with little prospect of any immediate change in

policy signalled.

- **GDP (Wed):** In terms of the data, 1Q GDP growth will be the highlight after the disappointing 0.5% annualised expansion in the fourth quarter of 2025. That was held back by the government shutdown that lasted throughout October, and we should see a corresponding rebound in government spending at the start of this year. Tech-related investment is expected to continue growing very strongly, net trade shouldn't be too much of a headwind while residential investment will continue to be a drag. Unfortunately, the consumer spending story is likely to be more subdued with bad weather at the start of the year holding back activity. We expect GDP growth of 2.7% annualised.
- Other numbers to watch include the 1Q employment cost index, which is the broadest measure of labour costs. Slowing wage growth is the main factor which should ease Federal Reserve concerns about second-round price effects due to higher motor fuel costs. Nonetheless, their favoured measure of inflation – the core PCE deflator is likely to temporarily pick up to 3.2% from 3%, confirming little prospect of any imminent Fed policy rate change.

Eurozone (Bert Colijn)

- **Rate decision (Thu):** It is a big week ahead for the eurozone with the ECB rate decision and a lot of relevant data releases all packed into the Thursday. GDP for 1Q, inflation for April and unemployment for March will all come out just hours before the ECB announces its decision on rates. We expect them to remain on hold. That's been hinted at by several Governing Council members lately, who have stressed the lack of new information and the absence of urgency to act. In that sense, April will mainly serve as a reality check for rate expectations, with markets currently pricing around 50bp of tightening by year end. [Read our full preview](#)
- **Inflation (Thu):** The headline rate is set to increase further on the back of high energy prices, with eyes mainly on any preliminary impact on core inflation. We don't expect much movement as of yet, but that doesn't mean that the second round effect will not emerge, of course.
- **1Q GDP (Thu) :** This will mainly show how the eurozone performed before the energy crisis, as only the month of March saw rising energy prices. Initial data have been sluggish, so after relatively strong GDP growth in 2025 despite all the uncertainty, 1Q could come in more modest.

United Kingdom (James Smith)

- **Rate decision (Thu):** We expect an 8-1 decision from the Bank of England to keep rates on hold. Governor Bailey said at the start of April that markets were getting ahead of themselves on rate hikes. But with uncertainty still elevated and the committee likely to become more visibly divided once again, we doubt the Bank will want to double down on this push back against market pricing next week. [Read our full preview](#)

Canada (James Knightley)

- **Rate Decision (Wed):** The Bank of Canada looks set to leave the policy rate unchanged at 2.25%. They have lowered it from 5% in 2024 and, with core inflation broadly in line with the target and the unemployment rate seemingly stabilised, another on-hold decision looks certain. Markets are pricing one 25bp rate hike by the end of the year, but we are in the camp that looks for the BoC to leave its monetary policy stance unchanged throughout 2026.

THINK Ahead in EMEA

Poland (Adam Antoniak)

- **Flash CPI** (Thu): The government's fiscal package includes cuts in excise duty on petroleum and diesel, lower VAT (down to 8% from 23%), and a daily cap price set by the minister of energy, halting further increases in fuel prices vs March. Still, annual growth in fuel prices is projected to be higher than in the previous month due to a low reference base. Elsewhere, inflationary pressure is well contained. Hence, we expect only a small uptick in headline inflation to 3.1% YoY, if any, from 3.0% YoY in March. Core inflation excluding food and energy prices most likely remained at 2.7%YoY this month.

Czech Republic (David Havrlant)

- **GDP** (Thu): The Czech economy likely entered the year in a mode of continued expansion in both annual and quarterly terms, yet at a somewhat slower pace than at the end of the previous year. The 1Q26 economic activity was affected by the onset of the turmoil in the Middle East, which sent energy prices on a steep upward path and propelled uncertainty. Still, the main negative impact will likely be tangible in the GDP readings that will follow.

Uzbekistan (Dmitry Dolgin)

- **Rate Decision** (Wed): We expect the central bank (CBRU) to keep the policy rate unchanged at 14.00% at the upcoming meeting on 29 April, in line with the [previous decision and guidance](#), as the domestic CPI and FX trends remained largely stable, the growth trend remained strong, while the external [inflationary risks increased](#) for the region. High real rate of c.7%, based on CPI over the past 12 months, remains one of the support factors for Uzbekistan's competitiveness on the global capital markets.

Key events in developed markets next week

Country	Time Data/event	ING	Prev.
Monday 27 April			
Germany	0800 May GfK Consumer Sentiment	-29	-28
Tuesday 28 April			
US	1400 Feb Case-Shiller 20 (MoM%/YoY%)	0.2/1.3	0.2/1.2
	1500 Apr Consumer Confidence	88.0	91.8
Spain	0800 Mar Retail Sales (YoY%)	-	2.2
Wednesday 29 April			
US	1330 Mar Durable Goods	1.2	-1.3
	1900 Fed Funds Target Rate (Upper Bound)	3.75	3.75
Eurozone	0900 Mar Money - M3 Annual Growth	-	3
	1000 Apr Business Climate	-	-0.27
	1000 Apr Economic Sentiment	-	96.6
Germany	1300 Apr CPI (MoM%/YoY%)	1.0/3.2	1.1/2.7
Italy	0900 Apr Consumer Confidence	91.5	92.6
Spain	0800 Apr CPI Flash NSA (YoY%)	-	3.4
	0800 Apr CPI Flash NSA (MoM%)	-	1.2
Canada	1445 BoC Rate Decision	-	2.25
Sweden	0700 Q1 GDP (QoQ%/YoY%)	-/-	0.5/2.1
Thursday 30 April			
US	1330 1Q GDP growth (QoQ% annualised)	2.7	0.5
	1330 1Q Employment Cost Index (QoQ%)	0.8	0.7
	1330 Mar Personal Income (MoM%)	0.4	-0.1
	1330 Mar Personal Consumption Real (MoM%)	0.3	0.1
	1330 Mar Consumption, Adjusted (MoM%)	0.9	0.5
	1330 Mar Core PCE Price Index (MoM%/YoY%)	0.3/3.2	0.4/3.0
	1330 W 1 Initial Jobless Claims (000s)	220	214
	1445 Apr Chicago PMI	51	52.8
Eurozone	1000 Apr CPI Flash (MoM%/YoY%)	3.5	1.3/2.6
	1000 Apr Core CPI Flash (YoY%)	2.4	2.3
	1000 Q1 GDP Flash Prelim (QoQ%/YoY%)	0.1	0.2/1.2
	1000 Mar Unemployment Rate	6.2	6.2
	1315 Apr ECB Refinancing Rate	2.15	2.15
	1315 Apr ECB Deposit Rate	2.0	2.00
Germany	0700 Mar Retail Sales Real (MoM%/YoY%)	0.3/0.5	-0.6/0.7
	0855 Apr Unemployment Rate SA	6.3	6.3
	0900 Q1 GDP Flash SA (QoQ%/YoY%)	-0.2/-0.2	0.3/0.6
France	0630 Q1 GDP Preliminary (QoQ%/YoY%)	-/-	0.2/1.2
	0745 Apr CPI Prelim (MoM%/YoY%)	-	1/1.7
UK	1200 Apr BoE Bank Rate	3.75	3.75
Italy	0900 Q1 GDP Prelim (QoQ%/YoY%)	0.1/0.6	0.3/0.8
	0930 Mar Unemployment Rate	5.3	5.3
	1000 Apr CPI Prelim (MoM%/YoY%)	1.0/2.2	1.7/1.6
Canada	1330 Feb GDP (MoM%)	-	0.1
Netherlands	0830 Q1 GDP Prelim SA (QoQ%/YoY%)	-/-	0.5/1.8
Portugal	1100 Apr CPI Flash (YoY%)	-	2.7
Friday 1 May			
US	1500 Apr ISM Manufacturing PMI	52.0	52.7
	1500 Apr ISM Manufacturing Prices Paid	85.0	78.3
UK	0930 Apr S&P Global/CIPS Manufacturing PMI Final	-	51

Source: Refinitiv, ING

Key events in EMEA next week

Country	Time (BST)	Data/event	ING	Prev.
Tuesday 28 April				
Hungary	1300	Apr Hungary Base Rate	6.25	6.25
Wednesday 29 April				
Russia	1700	Mar Retail Sales (YoY%)	0.0	0.3
	1700	Mar Unemployment Rate	2.1	2.1
Uzbekistan	0900	Apr Rate Decision	14.00	14.00
Thursday 30 April				
Turkey	0800	Mar Trade Balance	-	-9.03
	1200	Mar Bank NPL Ratio	-	2.59
Czech Rep	0800	Q1 Preliminary GDP (QoQ%/YoY%)	0.5/2.5	0.7/2.7
Hungary	0830	Q1 GDP Prelim (YoY%)	-	0.8
	0830	Mar Trade Balance Final (EUR bn)	-	665
Ukraine	0000	Central bank interest rate	-	15.00
Poland	0830	Apr Flash CPI (MoM%/YoY%)	1.1/3.0	0.5/3.1
Friday 1 May				
Hungary	0800	Apr Manufacturing PMI	-	50.4

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German economy back in crisis mode as Ifo index drops to pandemic levels

A plunging Ifo index underlines the growing concerns among German companies about the adverse economic impact of the war in the Middle East



Germany's most prominent leading indicator fell to 84.4 in April from 86.3 in March, the lowest level since the pandemic

To quote Andreas Brehme, the all-too-early-departed scorer of Germany's winning goal in the 1990 World Cup final: "if you've got s*** on your boot, you've got s*** on your boot." A quote that applies to many situations in life, and certainly to the German economy right now.

At the end of 2025, the economy finally seemed to be escaping its endless stagnation, with growth returning in the fourth quarter, rising industrial orders, and the expectation of billions in defence and infrastructure investment. An upturn was within sight until, that is, the war in the Middle East started. The just-released Ifo index, Germany's most prominent leading indicator, took another plunge in April, to 84.4, from 86.3 in March, the lowest level since the pandemic.

War in the Middle East, the energy price shock and possible supply chain frictions weigh on German economy

The war in the Middle East and soaring energy prices have again exposed the fact that Germany is

one of Europe's largest net importers of energy. Some 6% of its oil imports stem from countries in the Middle East. The so-called energy-intensive industries in Germany account for some 17% of industrial gross value added and employ just under one million people. With the war in the Middle East now gradually shifting from a pure energy price shock towards an energy supply and broader supply chain shock, the German economy is once again at the centre of an exogenous, global, disruption.

Admittedly, large corporates are likely still hedged against soaring oil prices, but SMEs are not, nor is there a hedge against deficits of physical oil. There is already anecdotal evidence of surging tarmac prices and coming supply frictions. As in 2022, this first inflation wave – from higher energy prices to knock-on effects on transportation and food, as well as products that need oil – is already in full swing. It is not only hitting consumers but also companies that, due to contractual obligations, are unable to immediately pass on higher costs. Also, remember that in 2022, several energy-intensive companies reduced or halted production as high energy prices made production uneconomical. Meanwhile, gas reserves are currently at their lowest level at this time of the year in five years, which could bring a cost-push for corporates and households next winter.

All of this said, even if sentiment is suffering enormous setbacks right now and fears of another year of stagnation have returned, it should be clear that the planned investments in defence and infrastructure are still on track and should support the economy this year and beyond. The fiscal impulse is real, it just needs time to reach the real economy.

German government has to master two challenges at the same time

Talking about fiscal policy, the new energy price crisis has again laid bare cracks in the German government coalition and the difficulty in mastering two challenges at the same time: providing short-term relief from high energy prices and pressing ahead with longer-term structural reforms. Over the last few weeks, the policy debate in Berlin has heated up again. This has centred not only on the government's decision to temporarily cut fuel taxes and introduce a controversial €1,000 tax free bonus that employers may – but are not required to – pay their employees, but also on the broader question of structural reform.

With the government entering its second year in office, there have been a wide range of reform proposals but still very few actual decisions. The current focus is on healthcare and pension reform to bring public finances onto a more sustainable footing in light of Germany's demographic change. It seems that not a day goes by without some sort of proposal or idea. Which of these proposals, if any, will eventually be implemented is a completely different story. Some call this diversity of ideas and proposals part of a constructive debate in a healthy democracy, others simply call it chaos.

In any event, the war in the Middle East is a serious obstacle. Yet, it is no reason to bury the structural optimism that marked the start of the year. If the fiscal stimulus on infrastructure and defence is now finally combined with long-overdue reforms to open up fiscal space for further investment, along with targeted corporate tax relief and a clear strategy for affordable and more autonomic energy – in short, a real plan – then the economic upswing will only be delayed, not derailed. The federal government, however, should not take its inspiration from the philosopher Andreas Brehme. One of his other famous lines was that “making the impossible possible will be a thing of impossibility.”

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Bank of England likely to keep rates on hold as markets ramp up hike bets

Financial markets are once again pricing upwards of two Bank of England rate hikes this year. Governor Andrew Bailey won't like that, but with the ongoing crisis in the Middle East, we doubt the Bank will meaningfully push back against market expectations at its 30 April meeting



Bank of England Governor Andrew Bailey speaking earlier this month at the 2026 IMF and World Bank Group meetings

Markets are pricing two rate hikes this year

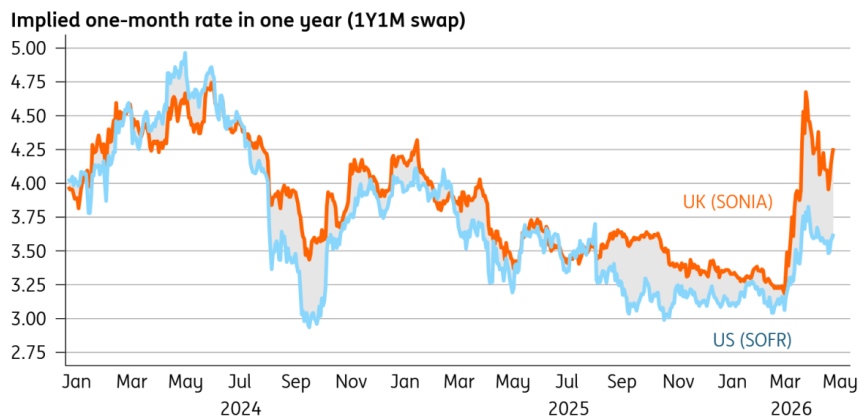
The Bank of England is poised to keep rates on hold at its April meeting. But will it push back against market expectations of two rate hikes by year-end?

The Bank was evidently caught off guard by the reaction to its March decision, which saw even the most dovish officials appear open-minded about hiking rates. Governor Andrew Bailey told *Reuters* in the days after that investors were [“getting ahead of themselves”](#).

We doubt his views have changed since then, but we suspect the Bank will be reluctant to push

back too hard on market expectations at Thursday's meeting. For one thing, market pricing is not quite as extreme as it was towards the end of March. That's mostly because oil prices have come lower; the correlation between energy costs and short-dated swap rates has been fairly tight since the crisis began.

UK rate expectations are significantly higher than pre-war



Source: Macrobond, ING

More importantly, though, nobody, least of all the Bank, knows how the crisis will develop between now and June. Energy prices are unpredictable, but the BoE is also acutely aware that the longer the Strait of Hormuz disruption endures, the more likely the unforeseen knock-on effects on supply chains.

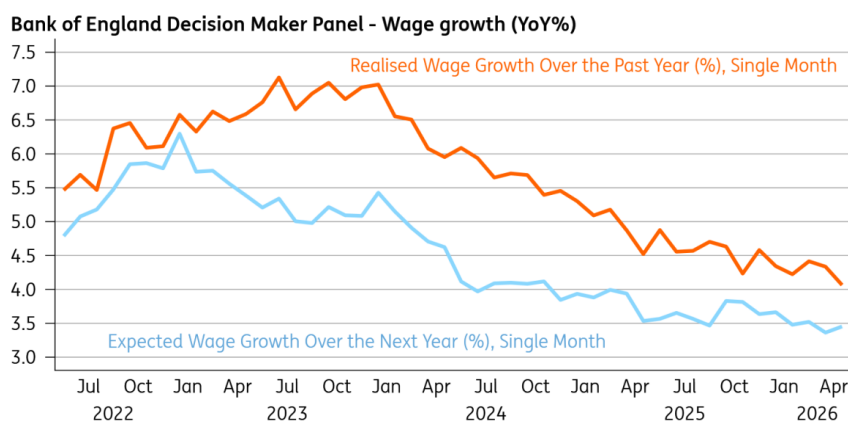
That said, the fact that natural gas prices have stayed remarkably contained – and have even flirted with pre-war levels in recent days – is a significant source of near-term comfort. Natural gas – and the role it plays in setting electricity prices and heating bills – is in many ways a bigger vulnerability for the UK than oil.

The other challenge the Bank has is that the data received since the March meeting hasn't really told it much about how the economy is responding to the war. Inflation is up, but so far only on the predictable rises in motor fuel and heating oil costs. Consumer inflation expectations have also predictably surged.

But measures of corporate price behaviour are more mixed. The PMIs pointed to rising output price pressure. But the Bank's own survey of companies – the Decision Maker Panel – didn't point to an unduly large pick up in inflation expectations. Unsurprisingly, most respondents said the war would lead them to raise prices, but crucially, wage growth expectations – the real driver of longer-term inflation persistence – are unchanged since the crisis began.

In short, it will take time to get a decent sense of whether firms are able to pass on higher energy costs to their consumers. And the Bank will want sight of the April CPI data, which will be released in May. That will give us a sense of how aggressive (or not) price hikes were at the start of the financial year. Given that large swathes of prices in the service sector are only updated once per year, this is fairly consequential for the inflation profile over the next 12 months.

Surveys don't point to a spike in wage growth



Source: Macrobond, ING

Expect an 8-1 decision in favour of "no change"

If the data has told us anything in recent weeks, it is that the economy is in a very different place from 2022 when the last energy crisis broke out. Employment is still falling across the consumer services industries and private sector wage growth has fallen – and crucially is now at a level the Bank told us in February was consistent with achieving the inflation target over the medium-term.

That's why, after last month's surprising show of unity, we expect the old divisions among committee members to come back to the fore. Though the framing has naturally shifted from "cut or hold" to "hold or hike", we'd expect the prior doves to place more emphasis on the differences with 2022 at this meeting than they did at the last.

But we think that's unlikely to extend to formal pushback against rate hike pricing in the policy statement. That's because the hawks are likely to become more vocal, too. We expect at least one official – Chief Economist Huw Pill – to vote for a rate hike. Megan Greene, and less likely, Catherine Mann, might also be tempted to join him. That most likely tees up an 8-1 vote in favour of keeping rates on hold. And at the very least, the hawks will want to keep talking up the possibility of a hike in June in a bid to keep inflation expectations under wraps.

We also doubt we'll get any fresh clues on policy direction from the new forecasts. On current market pricing, we think the Bank will have inflation peaking close to 4% this summer/autumn. But it will likely lean heavily on a scenario approach, given the uncertainty.

Politics is a risk, but we don't expect a rate hike this year

Finally, there's the politics. The Bank's hawkish signals in March were presumably at least in part directed towards lawmakers in Westminster – a warning against any big knee-jerk fiscal intervention in the energy crisis that might necessitate tighter monetary policy. So far, the government has been clear that any support will be targeted – and with natural gas prices where they are, the impetus to do more than that is limited, anyway.

But the risk of a leadership change in Downing Street is growing. Markets are wary that a new prime minister – and, by extension, chancellor – might mean more borrowing and looser fiscal rules.

So in short, we'd expect the Bank to keep its options open next week. Avoid doing anything that could add to rate hike bets in markets, but without trying to actively talk them down, either.

Ultimately, though, we don't think the Bank will hike rates this year – not at the current level of energy prices. We expect rates to stay at 3.75% in April and June, and for the rest of 2026.

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April ECB cheat sheet: Ready, aim, hold

Markets have two convictions: that the ECB will hold in April, and it will hike in June. We don't expect either of them to be challenged at next week's meeting. The rates market may also have little reason to revise expectations for two hikes in 2026. It's a supporting argument for the euro, but not enough to edge out global equities and oil as the main drivers



Next Thursday, we expect the ECB to stick to a cautious tone while emphasising that both inflation and growth risks remain material

This is our market preview of Thursday's ECB meeting; you can find our macro team's preview [here](#).

The European Central Bank will likely keep rates on hold at the 30 April meeting. That's been hinted at by several Governing Council members lately, who have stressed the lack of new information and the absence of urgency to act. In that sense, April will mainly serve as a reality check for rate expectations, with markets currently pricing around 50bp of tightening by year end.

In the table below, we outline four scenarios from the most dovish to the most hawkish (with the latter including a surprise hike), and what they would mean for rates and the euro. In our baseline,

we expect the ECB to stick to a cautious tone while emphasising that both inflation and growth risks remain material. President Christine Lagarde may not give too much away in the press conference, but we expect she'll give enough implicit hints that a summer rate hike is a reasonable expectation.

Four scenarios for the ECB's 30 April meeting

	 Inflation outlook	 Growth outlook	 Interest rates		
Current stance	Short-term upside risks due to war. If persistent, may cause second-round effects	Risks tilted to the downside, especially in the near term, due to the war	Depo rate at 2.00%. Data-dependent, meeting-by-meeting approach	EUR/USD (1.170)	10Y Bund (3.01%)
Dovish	De-escalation reduces upside for inflation and risks of second round effects	Downside risks for growth have increased and may linger after peace	Hold. Markets are overestimating tightening. Wide optionality on rates	1.165	2.90%
Neutral ING base-case	Too early for conclusions on inflation implications for policy. Risks still on upside	Balance of risks still to the downside, but no additional concerns relative to March	Hold. Cautious but hawkish tone, keeping the door to a June hike clearly open	1.170	3.05%
Hawkish	Upside risks have increased, growing concerns on infl. expectation de-anchoring	Growth risks remain but have not worsened since March	Hold. Signalling explicitly one or more hike(s) now likely in the summer	1.175	3.10%
Very hawkish	Inflation impact likely to be bigger than initially thought, requiring immediate action	Despite growth concerns, the focus is firmly on preventing a new inflation crisis	25bp hike. Staying data dependent, but signalling risk of more hikes	1.180	3.15%

Source: ING

Rates expect the ECB to act when needed

With just 10% priced in, markets are not expecting the ECB to hike this meeting, but the stakes are higher for June. Over the past weeks, markets have roughly priced in between 20bp and 40bp of hikes by June. Markets are still speculating about the ECB's reaction function, and any hints about a June move will be taken on board.

So far, long-term inflation swaps have remained very stable, reflecting the confidence in the ECB's inflation targeting. Despite large swings in 2Y inflation swaps, the 5Y5Y inflation forward only bumped up from around 2.08% in February to 2.14%, a minor blip by historical standards. To put this into context, the 5Y5Y rose above 2.6% in 2023. To keep market inflation expectations well-anchored, a hike might be needed eventually if oil stays high or rises further.

The big surprise would be the ECB over-delivering compared to market expectations by hiking already at this meeting. The pass-through to longer-dated rates could, however, be limited in this tail risk scenario. If the move were to be packaged in a dovish way, markets would likely interpret the hikes as a front-loading of future tightening and not a radical change in reaction function. In this case, we would see a mild bear flattening of the curve.

If, on the other hand, the hike is complemented with a hawkish narrative, we do see the risk of a perceived policy error. The ECB could be seen as pressing the brakes too hard, which could damage market sentiment, weighing on longer-dated rates.

In a contrasting scenario where the ECB turns overly dovish, dismissing inflation risks as transitory (without actually using the word "transitory"), we might see a significant steepening of the curve. In this case, 2Y rates might edge lower on fewer rate hike expectations, but the increased long-term inflation expectations would push up rates from 5Y and beyond. Again, not our base case, but still a risk to consider.

FX: Surprise needed, or rates stay secondary for EUR/USD

The notion that the ECB is responding more hawkishly than the Federal Reserve to the ongoing energy shock underpinned EUR/USD resilience initially, and then helped fuel the de escalation rally. The two year EUR/USD swap rate differential is now around 20bp tighter than pre war levels, and its mostly positive correlation with oil prices suggests markets see EUR front end rates as more responsive to fresh escalation risks.

That said, while the front end rates beta to EUR/USD has recovered after briefly dropping close to zero in March, global equities are currently a much bigger driver for the pair. Rates, equities and oil are clearly intertwined, but recent sessions have shown that EUR/USD's ability to hold above 1.170 largely depends on risk sentiment staying resilient, even when oil prices face upward pressure.

In other words, it would take a real surprise from the ECB for the impact on EUR/USD to be both material and lasting. Absent that, central bank policy divergence is likely to take a back seat again to oil moves and, above all, global equity performance.

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Energy shock 2.0 – who breaks, who bends in Central and Eastern Europe

The oil shock that began in March isn't just another commodity move; it's a macro stress test at a difficult time for the CEE region, when disinflation was maturing, fiscal space was narrow, and demand was largely fragile. The differences that matter most aren't how much oil a country imports, but who has the institutional shock absorbers to manage the blow



How the CEE region copes with surging energy prices is not merely a function of oil imports, but of the institutional shock absorbers available to manage the blow

The 2026 energy shock has hit the CEE3 (the Czech Republic, Poland and Hungary) and Turkey at precisely the wrong moment. Disinflation has only just been restored, growth remains fragile, fiscal room is thin, and central banks were just preparing to ease. This makes the new oil shock less a replay of 2022 than a genuine policy stress test – one that will separate economies with credible institutions and strategic buffers from those still relying on short-term fixes.

In a broader sense, this energy shock is a stress test that Europe may fail by default. Handled nationally, it can lock in a two-speed Europe – a sheltered core cushioned by fiscal space and EU risk sharing, and a periphery condemned to adjustment, weaker growth, and stalled convergence. That outcome would not be an accident, but a policy choice. The alternative is uncomfortable but clear: deeper integration or deeper divergence. Europe either uses this shock to mutualise risk and modernise its energy base, or accepts fragmentation as the price of incrementalism.

- **This is not mainly an energy-dependence story; it's a policy-capacity story:** what matters most is not who imports the most oil or gas, but who still has the institutional strength, fiscal space, monetary credibility, and external support to absorb the shock without derailing recovery.
- **The main macro risk is demand destruction, not a classic overheating cycle:** higher energy prices now function as a tax on already fragile economies, squeezing households, weakening margins, and forcing central banks into an uncomfortable trade-off between protecting growth and defending credibility.
- **Resilience across the region is highly uneven:** the Czech Republic looks best placed to bend without breaking; Poland still has growth but little fiscal room; Hungary is the most complicated CEE case given its structural exposure; and Turkey remains the most vulnerable because energy sensitivity, FX pass-through, and limited external backstops all collide at once.
- **The countries that emerge stronger will be those treating energy policy as industrial policy:** the 2022 subsidy playbook is largely exhausted. The real differentiator is now whether governments use EU instruments and public investment to build energy resilience – grids, renewables, efficiency, infrastructure – or fall back on blunt support measures that protect consumption today but erode competitiveness tomorrow.

The timing could hardly be worse

The de facto closure of the Strait of Hormuz to most non Iranian shipping since 28 February has stripped out a large share of global crude and LNG supply at a moment of already fragile demand. ICE Brent prices quickly climbed toward levels that European policymakers had previously treated only as tail risk scenarios, and, despite extensive mitigation efforts including the rerouting of shipments, the release of sanctioned oil onto the market, and coordinated drawdowns from strategic petroleum reserves, the global economy is still operating with a significant net loss of oil supply. According to [our estimates](#), even after accounting for pipeline diversions, alternative shipping routes, and emergency stock releases, around 13 million barrels per day of oil supply remain effectively disrupted.

For Central and Eastern Europe and Turkey, which sit at the geographic and economic crossroads of this shock, the impact is real and immediate. The region spent 2024 and most of 2025 restoring disinflation, stabilising external balances, and rebuilding room for monetary easing. The question now is whether those gains can withstand a renewed cost push surge. Some countries are better positioned than others. The critical differences extend beyond energy exposure. Institutional strength, fiscal space, and access to EU financial instruments – such as Security Action for Europe (SAFE) and the Recovery and Resilience Facility (RRF) – will shape how effectively each economy can absorb and offset the blow.

A different shock in a different world

A useful way to understand the 2026 energy shock is through comparison with 2022. That earlier

episode was, in essence, a supply shock landing on a booming economy. Post-pandemic demand was surging, households were running down accumulated savings, labour markets were tightening, and firms found it relatively easy to pass costs through. Central banks reacted late, allowing inflation expectations to drift, most starkly in Hungary and Turkey. The result was a multi-year inflation overshoot, prolonged monetary tightening, and a serious real income squeeze.

The world of early 2026 looks structurally different. The supply disruption in the Middle East is, if anything, sharper in its initial price impulse. But the demand backdrop could hardly be of greater contrast. German industrial output – the anchor of CEE manufacturing exports – has been flat for nearly two years. Real disposable income growth in the region has slowed from its 2024 peak. Labour markets, while still tight in Poland and the Czech Republic, are no longer in a state of broad overheating. And consumer confidence was already subdued heading into April 2026.

This combination of a cost-push shock hitting weak demand creates a fundamentally more complex macro challenge than in 2022. Back then, rising energy prices were partly absorbed by strong nominal income growth, and central banks eventually had a clear mandate to tighten. Now, the same type of shock acts as a regressive tax in a fragile momentum, risks stalling the recovery, and leaves central banks torn between the old disinflation agenda and the new price threat. We are not in a price-wage spiral scenario; we are in a demand-destruction scenario, and policy has no clean instruments.

The non-linearity in price pass-through is also likely underappreciated. In low-inflation environments, energy price impulses can partly be absorbed within firm margins when demand is weak. But once headline inflation crosses certain thresholds or maintains sufficient stickiness, pass-through becomes disproportionately stronger and expectations de-anchor more easily. The economies most at risk are those already operating close to or above those pain thresholds when the shock arrived.

The structural burden of energy intensity and exposure

Understanding the regional impact of the shock starts with a basic structural fact: CEE and Turkey remain more energy intensive than Western Europe. Eurostat's 2024 data shows that, while the EU reduced the energy intensity of GDP by roughly one quarter between 2014 and 2024, most CEE economies sit above the EU average – some by a wide margin – meaning any rise in energy prices exerts a proportionally heavier drag on growth.

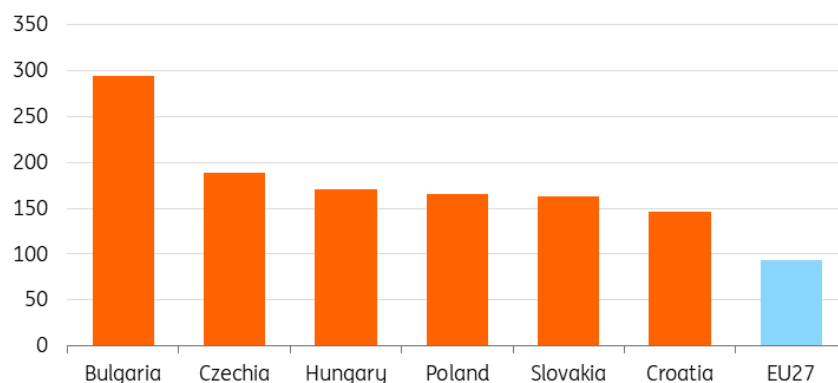
The composition of that exposure matters as much as the level. Poland and the Czech Republic carry heavier exposure to coal and carbon pricing under the EU Emissions Trading System – both have spent close to 1% of GDP annually on emission allowances, a structural cost that sits directly on their external accounts and industrial competitiveness. The forthcoming ETS2 expansion to buildings and road transport fuels in 2027 will add another layer to this burden, converging with the Hormuz shock if energy prices remain elevated.

Hungary is more exposed through the natural gas channel, with vulnerabilities tied to LNG availability. It's a textbook case: heavy net gas imports, gas intensive industrial production, and electricity prices tied to the marginal cost of gas fired generation.

Turkey's exposure is broader still. As a net hydrocarbon importer with an annual net energy bill standing at US\$47 billion in 2025, it depends simultaneously on oil, gas, and coal, compounded by rapid FX pass through into domestic prices if the central bank allows a rapid pace of exchange rate

depreciation.

Figure 1: Energy intensity of GDP (kilograms of oil equivalent per thousand euro)



Source: Eurostat

The industrial structure further complicates the impact. Manufacturing accounts for a larger share of GDP in CEE than in Western Europe, so the shock hits hardest in a segment that has already acted as a drag on growth for two years. Energy-intensive firms in metals, chemicals, and transport equipment are financially constrained and may begin cutting investment, setting up competitiveness losses that persist well beyond the commodity shock itself.

These structural features produce different macro sensitivities across the region. Our calibration, drawing mostly on central bank assessments and our own analysis, suggests the order-of-magnitude impact shown in Table 2. These figures represent first-year effects under broadly unchanged volumes and should be interpreted as indicative rather than model-precise; they likely underestimate the shock if gas prices rise alongside oil.

Figure 2: Estimated macro sensitivity to a 10% increase in oil prices

Economy	CPI impact (pp)	Real GDP impact (pp)	Current account (% of GDP)
Poland	0.30	-0.15	-0.15
Czech Republic	0.20	-0.10	-0.10
Hungary	0.35	-0.10	-0.15
Turkey	0.70	-0.30	-0.20

Source: ING

Note: cumulative 12-month impacts under constant-volume assumption; Turkish coefficient reflects additional FX pass-through channel

At current trajectories – with oil not far from US\$100/bbl for an extended period – the mechanical hit to 2026 inflation could be around 1.0ppt higher than our pre-shock baselines for the CEE3, and materially more for Turkey. Current account balances could see meaningful deterioration as well, most acutely in Hungary and Turkey.

The starting grid: Who was where when the shock landed

Sensitivity coefficients are only part of the picture. Equally important is each economy's starting position, because the same external shock can produce very different domestic outcomes depending on fiscal space, monetary flexibility, and cyclical momentum.

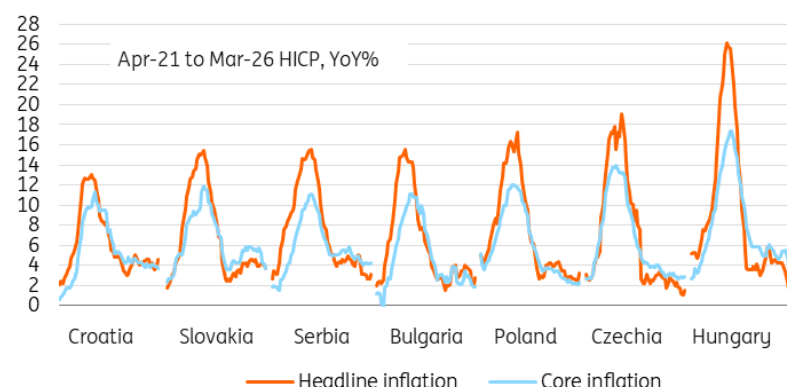
Poland enters the shock from the strongest cyclical position among the CEE3. GDP grew 3.6% in 2025, the services sector is performing well, and consumption has been resilient. But its fiscal position is arguably the weakest in the group; the budget deficit may near 7.0% of GDP in 2026, and public debt is on track to exceed 60%. The easing cycle that resumed in September 2025 is now directly challenged. Surging fuel prices have jeopardised the low-inflation trajectory, additional monetary easing is off the table, and broad energy price shielding – used heavily in the previous cycle – cannot be repeated without meaningfully worsening a deficit already attracting rating agency attention.

The Czech Republic is the regional benchmark for stability. With the policy rate at 3.50% and inflation largely back at target, the Czech National Bank (CNB) was flagging potential hikes in 2027 before the shock arrived. Czech exports are finding new customers in the US, the Middle East, and Asia. The labour market is tightening again, and the external balance is in surplus. For Czechia, the energy shock is a headwind, not a regime shift.

Hungary arguably presents the most complicated pre-shock backdrop. It enters 2026 after three years of real GDP stagnation: investment has fallen, business confidence remained subdued, and inflation was sticky until late 2025 despite the weak economy. Monetary policy stayed cautious to keep the forint attractive and anchor expectations. With inflation hitting a 10-year low in February 2026, Hungary was finally on the verge of reaping the benefits of disinflation and a rate cut was implemented shortly before the Middle East conflict erupted. The shock, therefore, hits at the most optimal inflation moment – but unresolved energy intensity, import reliance, and the risk of delayed economic acceleration complicate the picture considerably.

Turkey presents a unique profile. Its sensitivity to energy price movements is high, and its external position is more exposed than the CEE economies, which benefit from EU-based institutional support. The central bank's disinflation efforts have been notable, and gross reserves reached record levels in late 2025. But the current account deficit has begun widening again, the lira remains under a tight central bank grip amid foreign outflows, and the interplay between energy prices and currency dynamics warrants close monitoring. As a result, Turkey may experience a more pronounced response to the current shock – both in terms of macroeconomic impact and the policy challenges it presents.

Figure 3: Inflation comparison across the region in the previous energy shock



Source: Eurostat

What policy can and cannot do

Monetary policy across the region has been caught in mid-transition. Central banks that were edging toward easing now face an uncomfortable reversal. The National Bank of Poland (NBP) has halted cuts; the CNB is on hold with a tightening bias; the National Bank of Hungary (NBH) remains restrictive to protect the forint. The European Central Bank (ECB) held rates but raised its 2026 inflation forecast and cut its growth, both explicitly linked to the energy shock.

The Turkish central bank has moved quickly, providing FX supply to the system, tightening Turkish lira liquidity that could flow to FX, and raising the effective cost of funding by 300bp to 40% to shift away from its easing bias.

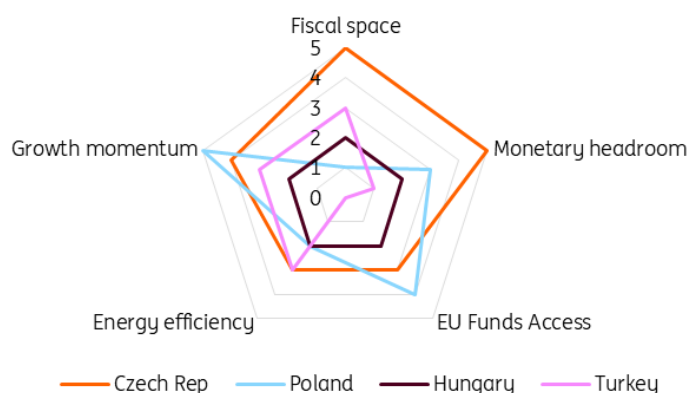
The textbook reaction to a supply shock is to look through the first round price impulse, act only if second round effects materialise, and avoid choking an already weak economy with unnecessary tightening. In 2022, estimates of the transitory nature of the shock proved too optimistic. In 2026, central banks are understandably on high alert to avoid repeating that mistake. The bias is towards caution rather than aggressive tightening, but easing is largely off the table for most of 2026, especially under stress scenarios.

On the fiscal side, the 2026 story diverges most sharply from 2022. In the earlier crisis, governments deployed broad household energy price shields at substantial fiscal cost. Those shields bought time but also built up deferred inflationary pressures that materialised when caps were removed. In 2026, the fiscal space for broad price shielding is objectively narrower.

Poland is running a deficit well above the EU reference value. Hungary must protect its debt-to-GDP trajectory. The lesson of 2022 was that blunt tools defer rather than solve the problem. The lesson of 2026 may be that the political temptation to repeat the bluntness remains high even though the tools are no longer viable. In Turkey, fiscal prudence in recent years has provided a buffer, with the government reinstating a sliding-scale tariff that absorbs roughly 75% of the oil price shock at a manageable fiscal cost, helping contain first-round inflationary effects. Even so, upward pressure from oil, gas, transport, and fertiliser prices will likely push inflation above 25% this year.

Figure 4: Policy space and structural buffers

Scores range from 1 (weak) to 5 (strong), where higher values indicate greater policy space or stronger structural buffers



Source: ING

This is where EU instruments become the defining differentiator. Poland has an RRF envelope of roughly €60 billion and is accessing the new SAFE facility for up to €43.7 billion. CEE countries with immediate access to EU funds can substitute some of the fiscal impulse they cannot generate domestically with European co-financing, targeting the energy transition and industrial modernisation rather than consumption subsidies. Hungary is still facing uncertainty regarding the timing of EU funds, so the issue is likely to be solved – but Turkey has no such platform. Its adjustment must be carried entirely domestically, which could mean a larger toll on real incomes and a more acute dilemma between protecting growth and defending the currency.

From price shock to policy paths – scenario implications

To anchor the discussion, Figure 5 translates the energy shock into a set of consistent macro policy scenarios. Starting from a common baseline, scenarios 2 and 3 illustrate progressively persistent energy price disruptions and the macro trade offs that they force. The message is not precision but asymmetry: higher and more volatile oil and gas prices produce non-linear inflation responses, quickly crowd out growth, and compress monetary space, especially in economies where buffers are already thin.

Figure 5: Energy price scenarios and macro policy implications

		1Q26	2Q26	3Q26	4Q26	FY26	1Q27	2Q27	3Q27	4Q27	FY27
Brent (US\$/bbl)	Baseline	78	96	93	88	89	82	79	75	72	77
	Scenario 2	78	110	102	100	98	93	89	84	80	87
	Scenario 3	78	135	150	120	121	105	100	94	90	97
TTF forecast (EUR/MWh)	Baseline	40	55	45	45	46	40	33	31	32	34
	Scenario 2	40	74	60	60	59	54	46	43	43	47
	Scenario 3	40	90	75	80	71	71	60	56	55	61
Poland	GDP (%YoY)	3.1	3.4	3.6	3.5	3.4	3.6	3.4	3.0	2.9	3.2
	Scenario 2	3.1	3.4	3.5	3.4	3.3	3.5	3.4	3.0	3.0	3.3
	Scenario 3	3.1	2.6	2.3	2.7	2.7	2.8	3.1	3.2	3.2	3.1
	CPI (%YoY)	2.4	3.6	3.9	4.2	3.5	3.8	2.9	2.5	2.4	2.9
	Scenario 2	2.4	4.0	4.3	4.7	3.9	4.2	3.0	2.6	2.4	3.1
	Scenario 3	2.4	4.7	6.5	6.4	5.0	6.1	4.1	1.9	2.1	3.5
	Policy rate (%)	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75
	Scenario 2	3.75	3.75	3.75	4.25	4.25	4.25	4.00	3.75	3.75	3.75
	Scenario 3	3.75	4.50	5.50	5.50	5.50	5.50	5.25	4.75	4.25	4.25
Czech Republic	GDP (%YoY)	2.4	2.3	2.1	2.0	2.2	2.1	2.3	2.4	2.5	2.3
	Scenario 2	2.4	2.2	1.6	1.2	1.9	1.0	1.5	2.0	2.4	1.7
	Scenario 3	2.4	1.8	1.0	0.5	1.4	0.5	0.9	1.4	1.8	1.2
	CPI (%YoY)	1.6	2.5	2.3	2.8	2.3	3.3	2.5	2.5	2.4	2.7
	Scenario 2	1.6	2.7	2.8	3.7	2.7	4.4	3.1	2.4	1.9	3.0
	Scenario 3	1.6	3.5	3.8	4.7	3.4	4.9	3.6	2.9	2.4	3.5
	Policy rate (%)	3.50	3.50	3.50	3.50	3.50	3.50	3.50	3.50	3.50	3.50
	Scenario 2	3.50	3.50	3.50	3.75	3.75	3.75	3.75	3.50	3.50	3.50
	Scenario 3	3.50	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75	3.75
Hungary	GDP (%YoY)	1.6	1.3	1.6	2.1	1.6	1.4	2.7	2.7	3.2	2.5
	Scenario 2	1.6	1.1	1.3	1.7	1.4	1.0	2.3	2.3	2.9	2.1
	Scenario 3	1.6	0.8	0.5	0.6	0.9	-0.3	1.1	1.4	2.2	1.1
	CPI (%YoY)	1.8	3.5	4.1	4.3	3.4	4.2	4.0	3.5	3.1	3.7
	Scenario 2	1.8	4.0	4.7	4.8	4.2	4.7	4.5	3.9	3.4	4.1
	Scenario 3	1.8	4.6	6.3	5.8	5.2	5.0	4.6	4.0	3.6	4.3
	Policy rate (%)	6.25	6.25	6.25	6.25	6.25	6.25	6.00	5.75	5.00	5.00
	Scenario 2	6.25	6.25	6.25	6.25	6.25	6.25	6.25	6.00	5.75	5.75
	Scenario 3	6.25	6.25	6.75	6.75	6.75	6.75	6.75	6.50	5.75	5.75
Turkey	GDP (%YoY)	3.5	3.2	2.8	2.6	3.0	2.9	3.9	4.1	5.0	4.0
	Scenario 2	3.5	3.0	2.5	2.3	2.6	2.7	3.6	3.7	4.7	3.6
	Scenario 3	3.5	2.6	1.8	1.5	1.6	2.6	3.4	3.4	4.4	3.1
	CPI (%YoY)	30.9	30.8	28.2	27.5	29.6	23.9	21.2	19.6	18.9	21.2
	Scenario 2	30.9	32.0	29.1	28.7	30.2	25.0	22.3	20.6	19.8	21.9
	Scenario 3	30.9	34.2	33.8	30.6	32.4	26.3	23.5	21.7	21.0	23.1
	Policy rate (%)	37.00	37.00	35.00	33.00	33.00	30.00	27.00	25.00	23.00	23.00
	Scenario 2	37.00	38.50	37.00	35.00	35.00	31.50	28.50	26.50	24.50	24.50
	Scenario 3	37.00	41.00	43.00	38.00	38.00	33.00	30.00	28.00	26.00	26.00

Source: ING

The case for shorter, smarter supply chains

Every energy shock produces an industrial policy argument. The 2026 shock makes one that is unusually compelling for CEE. Nearshoring and friendshoring were already gaining traction after the pandemic. The Hormuz disruption has added an acute logistical shock on top of the strategic arguments: the era of just-in-time globalisation, built on cheap and dependable long-distance shipping, might be over.

CEE is structurally well-placed to benefit from this reallocation. The region combines strategic geography, improved infrastructure, and a large pool of technically skilled workers. Poland and Czechia have established themselves as high-value logistics and manufacturing hubs. Hungary has leveraged its dense and well connected motorway network to strengthen its role as a regional transport and manufacturing corridor. Crucially, this physical and human capital base is being reinforced by a broader “working smart” agenda of capital deepening and automation – this was outlined in our [October 2025 edition](#) and is consistent with the nearshoring dynamics identified in our [Directional Economics](#) analysis of CEE manufacturing relocation, making the region an increasingly credible destination for the technology intensive investment that Western

multinationals are reshoring.

But the energy shock of 2026 adds a sharper argument: reshoring investment goes to locations that guarantee affordable and reliable energy, not just skilled labour. Persistently high and volatile prices erode competitiveness and offset locational advantage. Regions that respond by accelerating renewable permitting, grid build-out, and energy efficiency investment will capture the next reshoring wave. Those responding with ad hoc price controls and fiscal drift may find the shock has corroded the very advantages they sought to protect. This is also why the linkage between EU funds (RRF, SAFE, Cohesion) and energy system transition matters so much; used well, these instruments are not subsidies for consumption but supply-side investments that permanently reduce the economy's sensitivity to the next oil price spike.

Cracks and crossroads – the integration question

Crises tend to expose pre existing structural weaknesses. The 2026 energy shock has intensified a debate about Europe's economic architecture. One scenario is a genuinely two speed Europe: a core of countries with fiscal possibilities, institutional quality, and policy credibility that can absorb the shock – that could be Czechia, Poland and the broader northwest – and a periphery left financially strained, politically volatile, and structurally exposed. If EU funds primarily flow to countries most capable of absorbing them, divergence could widen rather than narrow – a risk that mirrors [our previous findings](#) that institutional quality and absorptive capacity, not income level alone, determine whether shocks accelerate or derail convergence.

The alternative is deeper integration. Joint gas purchasing under REPowerEU, SAFE's risk-sharing for defence financing, and the strategic logic of coordinated cross-border energy infrastructure all point towards a more unified European energy market. Every major external shock since the 2010-2012 debt crisis has produced additional European institutional architecture: the Banking Union, the ESM, NGEU, and SAFE. The 2026 energy shock may follow the same pattern.

For the CEE3, the result of this integration debate is crucial. The region's core strengths – proximity to Western markets, manufacturing capacity, and access to the EU single market – are most powerful when EU institutions are most deeply integrated. A two speed Europe that places part of CEE in a secondary tier would undermine the investment story that makes the region attractive. A more integrated Europe that builds shared energy infrastructure and collective transition mechanisms enhances CEE's locational advantage.

EU funds breakdown for CEE sovereigns

Country	Cohesion Funds (2021-27)			RRF Grants (2021-26)			RRF Loans (2021-26)			Total EU Funds		
	Expected (€)	Expected % of GDP	Disbursed (€)	Expected (€)	Expected % of GDP	Disbursed (€)	Expected (€)	Expected % of GDP	Disbursed (€)	Expected (€)	Expected % of GDP	Disbursed (€)
Czech Republic	€21.1bn	6.6%	€6.5bn	€8.4bn	2.6%	€6.5bn	€0.8bn	0.3%	€0.2bn	€30.3bn	9.4%	€13.3bn
Hungary	€21.7bn	10.5%	€4.2bn	€6.5bn	3.2%	€0.1bn	€3.9bn	1.9%	€0.8bn	€32.2bn	15.6%	€5.1bn
Poland	€75.5bn	8.9%	€18.0bn	€25.3bn	3.0%	€9.5bn	€34.5bn	4.1%	€17.4bn	€135.3bn	15.9%	€44.9bn
Bulgaria	€10.9bn	10.4%	€2.1bn	€6.2bn	5.9%	€3.3bn	€0.0bn	0.0%	€0.0bn	€17.1bn	16.3%	€5.3bn
Croatia	€8.7bn	10.1%	€2.0bn	€5.8bn	6.7%	€4.9bn	€4.4bn	5.2%	€2.4bn	€18.9bn	22.0%	€9.3bn
Slovakia	€12.6bn	9.7%	€3.1bn	€6.4bn	4.9%	€4.0bn	€0.0bn	0.0%	€0.0bn	€19.0bn	14.6%	€7.1bn

Source: EC, Eurostat, Macrobond, ING

What we make of it

The current oil shock is less a test of geopolitics and more a referendum on policy quality. What separates the countries that emerge from this shock as stronger from those that merely survive it is not geography, not luck, and not the price of oil on any given Tuesday. It is the willingness to treat a crisis as a structural mandate to modernise and increase resilience rather than a temporary inconvenience to be managed into the next electoral cycle. Energy dependence of this magnitude is not a market failure; it is a policy choice, accumulated quietly over decades and now settled loudly in a single quarter. Countries that use EU instruments to invest in supply-side adjustment (renewable capacity, grid infrastructure, energy efficiency) will emerge structurally stronger. Those that reach for the familiar comfort of untargeted budget transfers, banking on markets looking away, are running a different kind of risk.

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Kevin Warsh's Fed confirmation faces tough tests

Kevin Warsh's confirmation hearing to be the next Fed Chair will see him having to tread a fine line between making the case for lower borrowing costs, which helped him get the nomination from the President, and preserving the Fed's inflation-fighting credentials. Politics and the DoJ case against the Fed mean a swift confirmation is unlikely



At his confirmation hearings, Kevin Warsh will have to balance calls for lower borrowing costs and the inflation-fighting credentials of the Federal Reserve

Kevin Warsh's challenge - the President & market credibility

The Federal Reserve has entered its quiet period ahead of the 29 April FOMC meeting, but it will still be drawing headlines given Kevin Warsh's confirmation hearing to become Federal Reserve Chair is being held tomorrow. Once viewed as a hawk when he previously served as a Fed Governor (February 2006-March 2011), he has been nominated by President Trump, who has demanded much lower interest rates from current incumbent, Jerome Powell.

Warsh will inevitably be questioned on how closely aligned he is with the President's thinking. We imagine he will indicate a belief that, over time, lower interest rates make sense. However, preserving market credibility is of paramount importance and there must be justification.

The Iran conflict-induced jump in motor fuel costs creates near-term challenges in an environment where both core and headline consumer price inflation have exceeded the 2% target throughout the past five years. He will be wary of coming across as too dovish. That could heighten market fears of potential unanchored market inflation expectations, prompting higher long-term borrowing costs.

Treasury Secretary Scott Bessent has emphasised that, in his view, the most important metric is the 10Y Treasury yield given its benchmark role and the impact it has on mortgage rates and corporate borrowing costs. He appears to be onboard with a delay to rate cuts, based on recent media comments, but the President is probably not going to be so keen. Nonetheless, if there is a swift conclusion to the conflict and fuel prices drop sharply, Warsh will strongly suggest there is the possibility of his support for rate cuts later this year.

Structurally speaking, Kevin Warsh will emphasise the opportunity for lower borrowing costs over the medium to longer term. He clearly buys into the idea that tech/AI investment will boost productivity and allow the US to grow faster without generating inflation. To be fair, there appears to be support for this view within the broader Fed, given that within the March forecast update, officials revised higher their long-run GDP forecast to 2% from 1.8%, without altering the long-term inflation prediction. The minutes suggested that "several participants... expected higher productivity growth, associated with technological or deregulatory developments, to put downward pressure on inflation."

The Fed's balance sheet

In addition to the productivity narrative, Kevin Warsh has another theory. Every US\$1tn of Fed bond holdings equates to 50bp on the policy rate (approximately). In consequence, balance sheet contraction, through bond roll-offs or outright selling, facilitates rate cuts. This is convenient, as Warsh also believes that the Fed continues to own too many bonds. The build of bond buying was a consequence of past crises, and now that they are no more, much of the bonds should be off-loaded. He's not been specific about sizes, but said that they should be significantly reduced. And he's identified Mortgage-Backed Securities (MBS) as a particular eye-sore that should be liquidated. And finally, he's advocated mostly a passive run-off, cognisant of market de-stabilisation risks.

Consider two scenarios. One is a reduction in the balance sheet right back to pre-Global Financial Crisis levels (5.5% of GDP). That would require some US\$4.5tn in bond liquidations. That's unlikely, but we do develop that narrative [here](#). More probable is a targeted sale of the US\$2tn of MBS holdings. This is currently rolling off at a slow trickle, as it's primarily long in duration. But it could be subject to outright sales. It could be softened by extra T-bills buying, to prevent repo market disruption.

The issue here, however, is the impact on bank reserves. Bank reserves sit on the Fed's balance sheet, and are remunerated by the rate the Fed pays on reserves. They are there as an echo of the prior bond buying undertaken by the Fed (effectively the other side of the Fed's balance sheet). In 2019 and again through the second half of 2025, we saw repo market tightness occur as bank reserves fell to critical levels. For no particular reason, circa 10% of GDP is a level below which tightness has tended to kick in.

Kevin Warsh has suggested identification of a target for bank reserves, and keeping to that. He's not been specific as to what that level should be. The unwritten level today is US\$3tn. That's sitting alongside Fed bond holdings of US\$6.3tn. Simplistically, if the Fed's balance sheet was shrunk by

US\$2tn, bank reserves could be pressured down to around US\$2-2.5tn. In today's setup, that would cause repo issues.

The simple solution would be to offset MBS sales with T-bills buying. Not technically QE (as bills buying is short in maturity and, in a sense, akin to open market operations), but would still leave the balance sheet bloated with government securities. Warsh needs a plan to deal with this. We'll be listening for more as he testifies, albeit perhaps a bit deep in the weeds for a Senate hearing. It is *really* important though. Apart from repo issues, MBS selling with a view to cutting rates, points to a steeper curve from both ends.

Chair Powell could continue beyond 15 May

Whether Kevin Warsh will be approved quickly is another matter given the Department of Justice's probe into Fed construction work overspending. The Senate Banking Committee consists of 13 Republicans and 11 Democrats, but Republican Thom Tillis has vowed to block the confirmation until the "vindictive prosecution" of Chair Powell is ended. Until Thom Tillis is satisfied, it will be a 12-12 vote, and it can't proceed to a formal Senate vote.

Jerome Powell's term as Fed Chair notionally ends on 15 May, but until Warsh is approved, Powell will stay in the role with his term as Governor scheduled to continue until 31 January 2028. As such, tensions between the Fed and the President are likely to remain elevated, but with strong rules of governance, we think the Fed's independence is not in doubt.

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